Bafang Yunji International Co., Ltd. and subsidiaries

Consolidated Financial Statements for the Years Ended December 31, 2025 and 2024 and Independent Auditors' Report

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DECLARATION OF CONSOLIDATION OF FINANCIAL STATEMENTS OF AFFILIATES

The entities that are required to be included in the combined financial statements of Bafang Yunji International Co., Ltd. as of and for the year ended December 31, 2025, under the Criteria Governing the Preparation of Affiliation Reports, Consolidated Business Reports and Consolidated Financial Statements of Affiliated Enterprises are the same as those included in the consolidated financial statements prepared in conformity with the International Financial Reporting Standard 10, "Consolidated Financial Statements". In addition, the information required to be disclosed in the combined financial statements is included in the consolidated financial statements. Consequently, Bafang Yunji International Co., Ltd. and Subsidiaries do not prepare a separate set of combined financial statements.

Very truly yours,

BAFANG YUNJI INTERNATIONAL CO., LTD.

By

LIN, HSIN-YI
Chairperson

March 10, 2026

INDEPENDENT AUDITORS' REPORT

The Board of Directors and Shareholders
Bafang Yunji International Co., Ltd.

Opinion

We have audited the accompanying consolidated financial statements of Bafang Yunji International Co., Ltd. and its subsidiaries (the "Group"), which comprise the consolidated balance sheets as of December 31, 2025 and 2024, and the consolidated statements of comprehensive income, changes in equity and cash flows for the years then ended, and the notes to the consolidated financial statements, including material accounting policy information (collectively referred to as the "consolidated financial statements").

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as of December 31, 2025 and 2024, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), IFRIC Interpretations (IFRIC), and SIC Interpretations (SIC) endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China.

Basis for Opinion

We conducted our audits in accordance with the Regulations Governing Financial Statement Audit and Attestation Engagements of Certified Public Accountants and the Standards on Auditing of the Republic of China. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with The Norm of Professional Ethics for Certified Public Accountant of the Republic of China, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the years ended December 31, 2025. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter of the Group's consolidated financial statements for the years ended December 31, 2025 is described as follows:

Authenticity of Sales Revenues from Shipments to Specific Customers

The Group is principally engaged in food processing, food ingredients trading and providing food and beverage services. Based on the materiality and the presumption of significant risk in revenue recognition in the Statement of Auditing Standards; Therefore, we believe that the authenticity of sales revenues from shipments to specific customers recognized by the Group has a significant impact on the financial statements. Therefore, the authenticity of the sales revenues from shipments to specific customers is listed as a key audit matter of this year. For a description of the revenue recognition policy, refer to Note 4(13).

We conducted the following audit procedures:

1. Understand and test the design and implementation of internal control relevant to revenue recognition for specific customers.

2. Review a selected sample of the revenue details of the specific customers, review the supporting documentation and test the collection status to confirm that the sales transaction occurred.

3. Review whether significant sales returns and discounts have occurred for the specific customers since the balance sheet date to confirm whether there is any material misstatement of revenues.

Other Matter

We have also audited the parent company only financial statements of Bafang Yunji International Co., Ltd. as of and for the years ended December 31, 2025 and 2024 on which we have issued an unmodified opinion.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers, and IFRS, IAS, IFRIC, and SIC endorsed and issued into effect by the Financial Supervisory Commission of the Republic of China, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, including the audit committees, are responsible for overseeing the Group's financial reporting process.

Auditors' Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Standards on Auditing of the Republic of China will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with the Standards on Auditing of the Republic of China, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

5. Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

6. Obtain sufficient and appropriate audit evidence regarding the financial information of entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements for the years ended December 31, 2025 and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partners on the audits resulting in this independent auditors' report are Li-Huang Lee and Po-Jen Weng.

Deloitte & Touche
Taipei, Taiwan
Republic of China

March 16, 2026

Notice to Readers

The accompanying consolidated financial statements are intended only to present the consolidated financial position, financial performance and cash flows in accordance with accounting principles and practices generally accepted in the Republic of China and not those of any other jurisdictions. The standards, procedures and practices to audit such consolidated financial statements are those generally applied in the Republic of China.

For the convenience of readers, the independent auditors' report and the accompanying consolidated financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. If there is any conflict between the English version and the original Chinese version or any difference in the interpretation of the two versions, the Chinese-language independent auditors' report and consolidated financial statements shall prevail.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED BALANCE SHEETS
DECEMBER 31, 2025 AND 2024
(In Thousands of New Taiwan Dollars)

	2025		2024	
ASSETS	Amount	%	Amount	%
CURRENT ASSETS				
Cash and cash equivalents (Notes 4, 6 and 36)	$ 1,518,020	18	$ 962,149	14
Financial assets at fair value through profit or loss - current (Notes 4, 7 and 36)	120,417	2	250,390	4
Financial assets at amortized cost - current (Notes 4, 8, 9, 36 and 38)	509,722	6	108,550	2
Accounts receivables (Notes 4, 11, 27, 36 and 37)	178,639	2	178,107	3
Lease receivables (Notes 4, 12 and 37)	26,004	-	29,931	-
Other receivables (Notes 4, 11, 36 and 37)	6,634	-	5,284	-
Current tax assets (Notes 4 and 29)	3,812	-	8,344	-
Inventories (Notes 4 and 13)	445,712	5	298,953	5
Other prepayments (Note 18)	150,408	2	149,115	2
Other current assets (Notes 19, 36 and 38)	39,830	1	2,787	-
Total current assets	2,999,198	36	1,993,610	30
NON-CURRENT ASSETS				
Financial assets at fair value through other comprehensive income - non-current (Notes 4, 10 and 36)	3,750	-	3,750	-
Financial assets at amortized cost - non-current (Notes 4, 8, 9, 36 and 38)	-	-	9,780	-
Property, plant and equipment (Notes 4, 15 and 38)	3,292,432	40	2,879,204	43
Right-of-use assets (Notes 4, 16 and 37)	1,533,983	19	1,491,751	22
Other intangible assets (Notes 4 and 17)	24,245	-	17,474	-
Deferred tax assets (Notes 4 and 29)	7,978	-	5,777	-
Prepayments for equipment (Note 19)	145,775	2	111,184	2
Long-term lease receivables (Notes 4, 12 and 37)	46,459	1	32,807	-
Refundable deposits (Notes 19 and 36)	172,570	2	177,875	3
Total non-current assets	5,227,192	64	4,729,602	70
TOTAL	$ 8,226,390	100	$ 6,723,212	100
LIABILITIES AND EQUITY				
CURRENT LIABILITIES				
Short-term borrowings (Notes 20, 36 and 38)	$ 110,005	1	$ 181,963	3
Notes payable (Notes 22 and 36)	1,422	-	2,160	-
Accounts payables (Notes 22 and 36)	286,682	3	261,494	4
Other payables (Notes 22, 36 and 37)	711,988	9	616,666	9
Current tax liabilities (Notes 4 and 29)	152,970	2	92,217	1
Lease liabilities - current (Notes 4, 16, 34, 36 and 37)	415,115	5	444,828	7
Current portion of long-term borrowings (Notes 20, 34, 36 and 38)	17,307	-	4,777	-
Other current liabilities (Notes 23 and 36)	53,031	1	53,502	1
Total current liabilities	1,748,520	21	1,657,607	25
NON-CURRENT LIABILITIES				
Bonds payable (Notes 4, 21 and 36)	941,301	12	-	-
Long-term borrowings (Notes 20, 34, 36 and 38)	74,442	1	26,937	-
Deferred tax liabilities (Notes 4 and 29)	8,957	-	25,459	-
Lease liabilities - non-current (Notes 4, 16, 34, 36 and 37)	1,227,900	15	1,134,848	17
Provisions (Notes 4 and 24)	5,807	-	6,698	-
Net defined benefit liabilities - non-current (Notes 4 and 25)	342	-	347	-
Guarantee deposits received (Notes 23, 34, 36 and 37)	65,905	1	55,476	1
Total non-current liabilities	2,324,654	29	1,249,765	18
Total liabilities	4,073,174	50	2,907,372	43
EQUITY ATTRIBUTABLE TO OWNERS OF THE COMPANY (Notes 14, 21, 26, 31 and 33)				
Ordinary shares	666,448	8	666,448	10
Capital surplus	1,076,754	13	1,000,579	15
Retained earnings				
Legal reserve	555,767	7	495,473	7
Special reserve	-	-	1,619	-
Unappropriated earnings	1,492,800	18	1,362,129	20
Total retained earnings	2,048,567	25	1,859,221	27
Other equity				
Exchange differences on the translation of the financial statements of foreign operations	7,727	-	47,148	1
Equity attributable to owners of the Company	3,799,496	46	3,573,396	53
NON-CONTROLLING INTERESTS	353,720	4	242,444	4
Total equity	4,153,216	50	3,815,840	57
TOTAL	$ 8,226,390	100	$ 6,723,212	100

The accompanying notes are an integral part of the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In Thousands of New Taiwan Dollars, Except Earnings Per Share)

	2025		2024	
	Amount	%	Amount	%
OPERATING REVENUE (Notes 4, 27, 37 and 43)	$ 8,791,118	100	$ 8,027,985	100
OPERATING COSTS (Notes 13 and 28)	(5,629,295)	(64)	(5,250,164)	(65)
GROSS PROFIT	3,161,823	36	2,777,821	35
OPERATING EXPENSES (Notes 11, 16, 25, 28 and 37)				
Selling and marketing expenses	(1,576,985)	(18)	(1,585,207)	(20)
General and administrative expenses	(486,880)	(6)	(453,000)	(6)
Research and development expenses	(19,846)	-	(18,078)	-
Total operating expenses	(2,083,711)	(24)	(2,056,285)	(26)
PROFIT FROM OPERATIONS	1,078,112	12	721,536	9
NON-OPERATING INCOME AND EXPENSES (Notes 10, 16, 28, 32 and 37)				
Interest income	13,876	-	15,657	-
Other income	45,019	1	54,936	1
Other gains and losses	(27,865)	-	5,998	-
Finance costs	(61,026)	(1)	(41,519)	(1)
Total non-operating income and expenses	(29,996)	-	35,072	-
PROFIT BEFORE INCOME TAX	1,048,116	12	756,608	9
INCOME TAX EXPENSE (Notes 4 and 29)	(221,513)	(3)	(165,510)	(2)
NET PROFIT FOR THE YEAR	826,603	9	591,098	7
OTHER COMPREHENSIVE INCOME (Notes 4, 25, 26 and 29)				
Items that will not be reclassified subsequently to profit or loss:				
Remeasurement of defined benefit plans	197	-	1,798	-
Income tax related to items that will not be reclassified subsequently to profit or loss	(39)	-	(360)	-

(Continued)

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In Thousands of New Taiwan Dollars, Except Earnings Per Share)

	2025		2024	
	Amount	%	Amount	%
Items that may be reclassified subsequently to profit or loss:				
Exchange differences on translation of the financial statements of foreign operations	(60,112)	-	68,388	1
Income tax related to items that may be reclassified subsequently to profit or loss	9,854	-	(12,191)	-
Other comprehensive income for the year, net of income tax	(50,100)	-	57,635	1
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	$ 776,503	9	$ 648,733	8
NET PROFIT ATTRIBUTABLE TO:				
Owners of the Company	$ 855,936	10	$ 602,016	7
Non-controlling interests	(29,333)	(1)	(10,918)	-
	$ 826,603	9	$ 591,098	7
TOTAL COMPREHENSIVE INCOME ATTRIBUTABLE TO:				
Owners of the Company	$ 816,673	9	$ 652,221	8
Non-controlling interests	(40,170)	-	(3,488)	-
	$ 776,503	9	$ 648,733	8
EARNINGS PER SHARE (Note 30)				
Basic	$ 12.84		$ 9.05	
Diluted	$ 12.67		$ 9.02	

The accompanying notes are an integral part of the consolidated financial statements. (Concluded)

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In Thousands of New Taiwan Dollars)

	Equity Attributable to Owners of the Company									
	Share Capital			Retained Earnings			Other Equity			
	Number of Shares (In Thousands of Shares)	Amount	Capital Surplus	Legal Reserve	Special Reserve	Unappropriated Earnings	Exchange Differences on Translation of the Financial Statements of Foreign Operations	Total	Non-controlling Interests	Total Equity
BALANCE AS OF JANUARY 1, 2024	66,495	664,948	996,533	440,197	4,247	1,277,604	(1,619)	3,381,910	66,897	3,448,807
Appropriation of earnings										
Legal reserve	-	-	-	55,276	-	(55,276)	-	-	-	-
Special reserve	-	-	-	-	(2,628)	2,628	-	-	-	-
Cash dividends distributed by the Company	-	-	-	-	-	(465,763)	-	(465,763)	-	(465,763)
Difference between actual disposal or acquisition price and carrying amount of subsidiary shares	-	-	56	-	-	-	-	56	(56)	-
Changes in percentage of ownership interests in subsidiaries	-	-	-	-	-	(518)	-	(518)	518	-
Issuance of ordinary shares under employee share options	150	1,500	2,265	-	-	-	-	3,765	-	3,765
Share-based payment transactions	-	-	1,725	-	-	-	-	1,725	-	1,725
Net profit for the years ended December 31, 2024	-	-	-	-	-	602,016	-	602,016	(10,918)	591,098
Other comprehensive income for the years ended December 31, 2024, net of income tax	-	-	-	-	-	1,438	48,767	50,205	7,430	57,635
Total comprehensive income for the years ended December 31, 2024	-	-	-	-	-	603,454	48,767	652,221	(3,488)	648,733
Non-controlling interests	-	-	-	-	-	-	-	-	178,573	178,573
BALANCE AT DECEMBER 31, 2024	66,645	666,448	1,000,579	495,473	1,619	1,362,129	47,148	3,573,396	242,444	3,815,840
Appropriation of earnings										
Legal reserve	-	-	-	60,294	-	(60,294)	-	-	-	-
Special reserve	-	-	-	-	(1,619)	1,619	-	-	-	-
Cash dividends distributed by the Company	-	-	-	-	-	(666,748)	-	(666,748)	-	(666,748)
Equity component of convertible bonds	-	-	76,175	-	-	-	-	76,175	-	76,175
Net profit for the years ended December 31, 2025	-	-	-	-	-	855,936	-	855,936	(29,333)	826,603
Other comprehensive income for the years ended December 31, 2025, net of income tax	-	-	-	-	-	158	(39,421)	(39,263)	(10,837)	(50,100)
Total comprehensive income for the years ended December 31, 2025	-	-	-	-	-	856,094	(39,421)	816,673	(40,170)	776,503
Non-controlling interests	-	-	-	-	-	-	-	-	151,446	151,446
BALANCE AT DECEMBER 31, 2025	66,645	$ 666,448	$ 1,076,754	$ 555,767	$ -	$ 1,492,800	$ 7,727	$ 3,799,496	$ 353,720	$ 4,153,216

The accompanying notes are an integral part of the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In Thousands of New Taiwan Dollars)

	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES		
Income before income tax	$ 1,048,116	$ 756,608
Adjustments for:		
Depreciation expense	762,576	757,036
Amortization expense	5,764	5,542
Net gain on fair value changes of financial assets and liabilities at fair value through profit or loss	(205)	(2,182)
Finance costs	61,026	41,519
Interest income	(13,876)	(15,657)
Dividend income	-	(32)
Share-based compensation cost	-	1,725
Loss on disposal and write-off of property, plant and equipment	29,712	9,601
Loss on disposal of intangible assets	14	-
Write-down of inventories	6,059	-
Gain on lease modification	(2,038)	(1,135)
Changes in operating assets and liabilities		
Notes receivable	-	71
Accounts receivables	(482)	(17,004)
Other receivables	(1,774)	12,008
Inventories	(152,779)	(51,574)
Prepayments	(1,293)	(33,479)
Other current assets	(2,466)	634
Notes payable	(738)	638
Accounts payables	25,188	23,186
Other payables	(5,439)	24,663
Other current liabilities	(471)	(2,255)
Net defined benefit liabilities	192	(490)
Cash generated from operations	1,757,086	1,509,423
Interest received	12,324	14,856
Interest paid	(15,892)	(6,455)
Income tax paid	(165,116)	(116,580)
Net cash generated from operating activities	1,588,402	1,401,244
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of financial assets at amortised cost	(391,392)	-
Proceeds from sale of financial assets at amortized cost	-	422,812
Purchase of financial assets at fair value through profit or loss	(120,000)	(1,494,000)
Proceeds from sale of financial assets at fair value through profit or loss	250,478	1,456,033
Payments for property, plant and equipment	(753,755)	(718,905)
Proceeds from disposal of property, plant and equipment	67,511	61,832
Decrease (Increase) in refundable deposits	5,305	(8,641)
Decrease in lease receivables	34,701	43,163

(Continued)

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE YEARS ENDED DECEMBER 31, 2025 AND 2024
(In Thousands of New Taiwan Dollars)

	2025	2024
Payments for intangible assets	(12,572)	(4,439)
Payments for right-of-use assets	(4,261)	-
Increase in other financial assets	(34,577)	-
Decrease in other financial assets	-	7
Increase in prepayments for equipment	(138,329)	(72,547)
Dividends received	-	32
Net cash used in investing activities	(1,096,891)	(314,653)
CASH FLOWS FROM FINANCING ACTIVITIES		
Proceeds from short-term borrowings	901,770	80,280
Repayments of short-term borrowings	(970,590)	(200,318)
Proceeds from bonds payable	1,013,117	-
Proceeds from long-term borrowings	65,478	-
Repayments of long-term borrowings	(4,546)	(4,454)
Repayment of the principal portion of lease liabilities	(539,149)	(554,740)
Proceeds from guarantee deposits received	10,429	2,015
Dividends paid	(533,159)	(465,463)
Proceeds from exercise of employee share options	-	3,765
Changes in non-controlling interests	151,446	178,573
Net cash generated from (used in) financing activities	94,796	(960,342)
EFFECTS OF EXCHANGE RATE CHANGES ON THE BALANCE OF CASH HELD IN FOREIGN CURRENCIES	(30,436)	32,377
NET INCREASE IN CASH AND CASH EQUIVALENTS	555,871	158,626
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR	962,149	803,523
CASH AND CASH EQUIVALENTS AT THE END OF THE YEAR	$ 1,518,020	$ 962,149

The accompanying notes are an integral part of the consolidated financial statements. (Concluded)

1. COMPANY HISTORY

Bafang Yunji International Co., Ltd. ("the Company") was incorporated on January 19, 2000, and is currently engaged in restaurant business, wholesale of food and groceries, retail of beverages, manufacturing of processed bean products, and manufacturing of baked and steamed food products.

The Company's shares have been listed on the Taiwan Stock Exchange since September 2021.

The consolidated financial statements are presented in the Company's functional currency, the New Taiwan dollar.

2. DATE AND PROCEDURE FOR APPROVAL OF FINANCIAL STATEMENTS

The accompanying consolidated financial statements were approved and authorized for issue by the Board of Directors on March 10, 2026.

3. APPLICATION OF NEW AND REVISED STANDARDS AND INTERPRETATION

a. Initial application of the amendments to the International Financial Reporting Standards (IFRS), International Accounting Standards (IAS), IFRIC Interpretations (IFRIC), and SIC Interpretations (SIC) (collectively, the "IFRS Accounting Standards") endorsed and issued into effect by the Financial Supervisory Commission (FSC)

Except for the following, the initial application of the IFRS Accounting Standards endorsed and issued into effect by the FSC did not have material impact on the Group's accounting policies:

(1) Amendments to IAS 21 "Lack of Exchangeability"

The initial application of the Amendments to IAS 21 "Lack of Exchangeability" did not have a material impact on the Group's accounting policies.

(2) Amendments to IFRS 9 and IFRS 7 "Amendments to the Classification and Measurement of Financial Instruments" - the amendments to the application guidance of classification of financial assets

(3) Identification of related parties

In accordance with the Q&A "Identification of Related Parties" issued by the ARDF in June 2025, the Group has reassessed its relationship with its managed funds to determine whether it exercises control or significant influence, or if it solely provides key management services to them. Since the Group only provides key management services to certain managed funds, the previous identification of related parties based on the Q&A issued by the ARDF in July 2013 was revised. Accordingly, these funds are no longer identified as related parties of the Group, effective from January 1, 2025. Furthermore, in accordance with the Q&A issued by the FSC, comparative information for the year 2024 needs not to be restated, which means the identified and disclosed related party relationships and transactions in prior financial statements are not required to be adjusted retrospectively.

b. The IFRS Accounting Standards endorsed by the FSC for application starting from 2026

New, Amended and Revised Standards and Interpretations	Effective Date Announced by IASB
Amendments to IFRS 9 and IFRS 7 "Amendments to the Classification and Measurement of Financial Instruments"	January 1, 2026
Amendments to IFRS 9 and IFRS 7 "Contracts Referencing Nature-dependent Electricity"	January 1, 2026
Annual Improvements to IFRS Accounting Standards - Volume 11	January 1, 2026
IFRS 17 "Insurance Contracts" (including the 2020 and 2021 amendments to IFRS 17)	January 1, 2023

Amendments to IFRS 9 and IFRS 7 "Amendments to the Classification and Measurement of Financial Instruments"

(1) The amendments to the application guidance of classification of financial assets

The amendments mainly amend the requirements for the classification of financial assets, including:

a) If a financial asset contains a contingent feature that could change the timing or amount of contractual cash flows and the contingent event itself does not relate directly to changes in basic lending risks and costs (e.g., whether the debtor achieves a contractually specified reduction in carbon emissions), the financial asset has contractual cash flows that are solely payments of principal and interest on the principal amount outstanding if, and only if,

- In all possible scenarios (before and after the occurrence of a contingent event), the contractual cash flows are solely payments of principal and interest on the principal amount outstanding; and

- In all possible scenarios, the contractual cash flows would not be significantly different from the contractual cash flows on a financial instrument with identical contractual terms, but without such a contingent feature.

b) To clarify that a financial asset has non-recourse features if an entity's ultimate right to receive cash flows is contractually limited to the cash flows generated by specified assets.

c) To clarify that the characteristics of contractually linked instruments include a prioritization of payments to the holders of financial assets using multiple contractually linked instruments (tranches) established through a waterfall payment structure, resulting in concentrations of credit risk and a disproportionate allocation of cash shortfalls from the underlying pool between the tranches.

(2) The amendments to the application guidance of derecognition of financial liabilities

The amendments mainly stipulate that a financial liability is derecognized on the settlement date. However, when settling a financial liability in cash using an electronic payment system, the Group can choose to derecognize the financial liability before the settlement date if, and only if, the Group has initiated a payment instruction that resulted in:

- The Group having no practical ability to withdraw, stop or cancel the payment instruction;

- The Group having no practical ability to access the cash to be used for settlement as a result of the payment instruction; and

- The settlement risk associated with the electronic payment system being insignificant.

Except for the above impact, as of the date the consolidated financial statements were authorized for issue, the Group has assessed that the application of other standards and interpretations will not have a material impact on the Group's financial position and financial performance.

c. The IFRS Accounting Standards in issue but not yet endorsed and issued into effect by the FSC

New, Amended and Revised Standards and Interpretations	Effective Date Announced by IASB (Note 1)
Amendments to IFRS 10 and IAS 28 "Sale or Contribution of Assets between an Investor and its Associate or Joint Venture"	To be determined by IASB
IFRS 18 "Presentation and Disclosure in Financial Statements"	January 1, 2027 (Note 2)
IFRS 19 "Subsidiaries without Public Accountability: Disclosures" (including the 2025 amendments to IFRS 19)	January 1, 2027
Amendments to IAS 21 "Translation to a Hyperinflationary Presentation Currency"	January 1, 2027

Note 1: Unless stated otherwise, the above IFRS Accounting Standards are effective for annual reporting periods beginning on or after their respective effective dates.

Note 2: On September 25, 2025, the FSC announced that IFRS 18 will take effect starting from January 1, 2028. Domestic entities could elect to apply IFRS 18 for an earlier period after the endorsement of IFRS 18 by the FSC.

1) Amendments to IFRS 10 and IAS 28 "Sale or Contribution of Assets between an Investor and its Associate or Joint Venture"

The amendments stipulate that, when the Group sells or contributes assets that constitute a business (as defined in IFRS 3) to an associate or joint venture, the gain or loss resulting from the transaction is recognized in full. Also, when the Group loses control of a subsidiary that contains a business but retains significant influence or joint control, the gain or loss resulting from the transaction is recognized in full.

Conversely, when the Group sells or contributes assets that do not constitute a business to an associate or joint venture, the gain or loss resulting from the transaction is recognized only to the extent of the Group's interest as an unrelated investor in the associate or joint venture, i.e., the Group's share of the gain or loss is eliminated. Also, when the Group loses control of a subsidiary that does not contain a business but retains significant influence or joint control over an associate or a joint venture, the gain or loss resulting from the transaction is recognized only to the extent of the Group's interest as an unrelated investor in the associate or joint venture, i.e., the Group's share of the gain or loss is eliminated.

2) IFRS 18 "Presentation and Disclosure in Financial Statements" and consequential amendments

IFRS 18 will supersede IAS 1 "Presentation of Financial Statements". The main changes comprise:

- To classify items of income and expenses presented in the statement of profit or loss into the operating, investing, financing, income taxes and discontinued operations categories, the Group shall assess whether it has specified main business activities of investing in particular types of assets and providing financing to customers.

- The statement of profit or loss shall present totals and subtotals for operating profit or loss, profit or loss before financing and income taxes and profit or loss.

- Provides guidance to enhance the requirements of aggregation and disaggregation: The Group shall identify the assets, liabilities, equity, income, expenses and cash flows that arise from individual transactions or other events and shall classify and aggregate them into groups based on shared characteristics, so as to result in the presentation in the primary financial statements of line items that have at least one similar characteristic. The Group shall disaggregate items with dissimilar characteristics in the primary financial statements and in the notes. The Group labels items as "other" only if it cannot find a more informative label.

- Disclosures on Management-defined Performance Measures (MPMs): When in public communications outside financial statements and communicating to users of financial statements management's view of an aspect of the financial performance of the Group as a whole, the Group shall disclose related information about its MPMs in a single note to the financial statements, including the description of such measures, calculations, reconciliations to the subtotal or total specified by IFRS Accounting Standards and the income tax and non-controlling interests effects of related reconciliation items.

In addition, the following consequential amendments have been made to IAS 7 "Statement of Cash Flows":

- The Group shall use operating profit or loss as the starting point when presenting cash flows from operating activities under the indirect method.

- Interest and dividends received by the Group shall be classified as investing activities, while interest and dividends paid shall be classified as financing activities. However, if, after assessment, the Group has a specific main operating activity, it shall determine how to classify dividends received, interest received and interest paid in the statement of cash flows by referring to how it classifies dividend income, interest income and interest expense in the statement of profit or loss. The total of each of these cash flows shall be classified in a single category in the statement of cash flows.

Except for the above impact, as of the date the consolidated financial statements were authorized for issue, the Group is continuously assessing the other impacts of the above amended standards and interpretations on the Group's financial position and financial performance and will disclose the relevant impact when the assessment is completed.

4. SUMMARY OF MATERIAL ACCOUNTING POLICY INFORMATION

a. Statement of compliance

The consolidated financial statements have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and IFRS Accounting Standards as endorsed and issued into effect by the FSC.

b. Basis of preparation

The consolidated financial statements have been prepared on the historical cost basis except for financial instruments which are measured at fair value and net defined benefit liabilities which are measured at the present value of the defined benefit obligation less the fair value of plan assets.

The fair value measurements, which are grouped into Levels 1 to 3 based on the degree to which the fair value measurement inputs are observable and based on the significance of the inputs to the fair value measurement in its entirety, are described as follows:

1) Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities;

2) Level 2 inputs are inputs other than quoted prices included within Level 1 that are observable for an asset or liability, either directly (i.e., as prices) or indirectly (i.e., derived from prices); and

3) Level 3 inputs are unobservable inputs for an asset or liability.

c. Classification of current and non-current assets and liabilities

Current assets include:

1) Assets held primarily for the purpose of trading;

2) Assets expected to be realized within 12 months after the reporting period; and

3) Cash and cash equivalents unless the asset is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.

Current liabilities include:

1) Liabilities held primarily for the purpose of trading;

2) Liabilities due to be settled within 12 months after the reporting period; and

3) Liabilities for which the Group does not have the substantial right at the end of the reporting period to defer settlement for at least 12 months after the reporting period.

Assets and liabilities that are not classified as current are classified as non-current.

d. Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and the entities controlled by the Company (its subsidiaries). Income and expenses of subsidiaries acquired or disposed of during the period are included in the consolidated statement of comprehensive income from the effective dates of acquisitions up to the effective dates of disposals, as appropriate. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those of the Group. All intra-group transactions, balances, income and expenses are eliminated in full upon consolidation. Total comprehensive income of subsidiaries is attributed to the owners of the Company and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

Changes in the Group's ownership interests in subsidiaries that do not result in the Group losing control over the subsidiaries are accounted for as equity transactions. The carrying amounts of the interests of the Group and the non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiaries. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity and attributed to the owners of the Company.

See Note 14 and Table 6 of Note 42 for detailed information on subsidiaries (including percentages of ownership and main businesses).

e. Foreign currencies

In preparing the financial statements of each individual entity, transactions in currencies other than the entity's functional currency (i.e., foreign currencies) are recognized at the rates of exchange prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are

retranslated at the rates prevailing at that date. Exchange differences on monetary items arising from settlement or translation are recognized in profit or loss in the period in which they arise.

Non-monetary items denominated in foreign currencies that are measured at fair value are retranslated at the rates prevailing at the date when the fair value is determined. Exchange differences arising from the retranslation of non-monetary items are included in profit or loss for the period except for exchange differences arising from the retranslation of non-monetary items in respect of which gains and losses are recognized directly in other comprehensive income; in which cases, the exchange differences are also recognized directly in other comprehensive income.

Non-monetary item denominated in a foreign currency and measured at historical cost is stated at the reporting currency as originally translated from the foreign currency.

For the purpose of presenting consolidated financial statements, the financial statements of the Company's foreign operations (including subsidiaries and associates) that are prepared using functional currencies which are different from the currency of the Company are translated into the presentation currency, the New Taiwan dollar, as follows: Assets and liabilities are translated at the exchange rates prevailing at the end of the reporting period; and income and expense items are translated at the average exchange rates for the period. The resulting currency translation differences are recognized in other comprehensive income (attributed to the owners of the Company and non-controlling interests as appropriate)

On the disposal of a foreign operation (i.e., a disposal of the Company's entire interest in a foreign operation, or a disposal involving the loss of control over a subsidiary that includes a foreign operation), all of the exchange differences accumulated in equity in respect of that operation attributable to the owners of the Company are reclassified to profit or loss.

f. Inventories

Inventories consist of raw materials, supplies, semi-finished goods and finished goods and are stated at the lower of cost or net realizable value. Inventory write-downs are made by item, except where it may be appropriate to group similar or related items. The net realizable value is the estimated selling price of inventories less all estimated costs of completion and costs necessary to make the sale. Inventories are recorded at the weighted-average cost on the balance sheet date.

g. Investments in associates

An associate is an entity over which the Group has significant influence and which is neither a subsidiary nor an interest in a joint venture.

Group uses the equity method to account for its investments in associates.

Under the equity method, investments in an associate are initially recognized at cost and adjusted thereafter to recognize the Group's share of the profit or loss and other comprehensive income of the associate. The Group also recognizes the changes in the Group's share of the equity of associates.

The entire carrying amount of an investment (including goodwill) is tested for impairment as a single asset by comparing its recoverable amount with its carrying amount. Any impairment loss recognized is not allocated to any asset, including goodwill, that forms part of the carrying amount of the investment. Any reversal of that impairment loss is recognized to the extent that the recoverable amount of the investment subsequently increases.

When the Group transacts with its associate, profits and losses resulting from the transactions with the associate are recognized in the Group's consolidated financial statements only to the extent of interests in the associate that are not related to the Group.

h. Property, plant and equipment

Property, plant and equipment are initially measured at cost and subsequently measured at cost less accumulated depreciation and accumulated impairment loss.

Property, plant and equipment in the course of construction are measured at cost less any recognized impairment loss. Cost includes professional fees and borrowing costs eligible for capitalization. Such assets are depreciated and classified to the appropriate categories of property, plant and equipment when completed and ready for their intended use.

The depreciation of property, plant and equipment is recognized using the straight-line method. Each significant part is depreciated separately. The estimated useful lives, residual values and depreciation methods are reviewed at the end of each reporting period, with the effects of any changes in the estimates accounted for on a prospective basis.

On derecognition of an item of property, plant and equipment, the difference between the sales proceeds and the carrying amount of the asset is recognized in profit or loss.

i. Intangible assets

1) Intangible assets acquired separately

Intangible assets with finite useful lives that are acquired separately are initially measured at cost and subsequently measured at cost less accumulated amortization and accumulated impairment loss. Amortization is recognized on a straight-line basis. The estimated useful lives, residual values, and amortization methods are reviewed at the end of each reporting period, with the effect of any changes in the estimates accounted for on a prospective basis.

2) Derecognition of intangible assets

On derecognition of an intangible asset, the difference between the net disposal proceeds and the carrying amount of the asset is recognized in profit or loss.

j. Impairment of property, plant and equipment, right-of-use asset, intangible assets other than goodwill and assets related to contract costs

At the end of each reporting period, the Group reviews the carrying amounts of its property, plant and equipment, right-of-use asset and intangible assets, excluding goodwill, to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. When it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs.

The recoverable amount is the higher of fair value less costs to sell and value in use. If the recoverable amount of an asset or cash-generating unit is estimated to be less than its carrying amount, the carrying amount of the asset or cash-generating unit is reduced to its recoverable amount, with the resulting impairment loss recognized in profit or loss.

Before the Group recognizes an impairment loss from assets related to contract costs, any impairment loss on inventories, property, plant and equipment and intangible assets related to the contract applicable under IFRS 15 shall be recognized in accordance with applicable standards. Then, impairment loss from the assets related to the contract costs is recognized to the extent that the carrying amount of the assets exceeds the remaining amount of consideration that the Group expects to receive in exchange for related goods or services less the costs which relate directly to providing those goods or services and which have not been recognized as expenses. The assets related to the contract costs are then included in the carrying amount of the cash-generating unit to which they belong for the purpose of

evaluating impairment of that cash-generating unit.

When an impairment loss is subsequently reversed, the carrying amount of the corresponding asset, cash-generating unit or assets related to contract costs is increased to the revised estimate of its recoverable amount, but only to the extent of the carrying amount that would have been determined had no impairment loss been recognized on the asset, cash-generating unit or assets related to contract costs in prior years. A reversal of an impairment loss is recognized in profit or loss.

k. Financial instruments

Financial assets and financial liabilities are recognized when the Group becomes a party to the contractual provisions of the instruments.

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issuance of financial assets and financial liabilities (other than financial assets and financial liabilities at FVTPL) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at FVTPL are included in the initially recognized amount of the financial assets or financial liabilities.

1) Financial assets

All regular way purchases or sales of financial assets are recognized and derecognized on a trade date basis.

a) Measurement categories

Financial assets are classified into the following categories: Financial assets at FVTPL, financial assets at amortized cost and investments in equity instruments at FVTOCI.

i. Financial assets at FVTPL

Financial assets are classified as at FVTPL when such financial assets are mandatorily classified as at FVTPL. Financial assets mandatorily classified as at FVTPL include investments in equity instruments which are not designated as at FVTOCI and debt instruments that do not meet the amortized cost criteria or the FVTOCI criteria.

Financial assets at FVTPL are subsequently measured at fair value, and any dividends, interest earned and remeasurement gains or losses on such financial assets are recognized in other gains or losses. Fair value is determined in the manner described in Note 36: Financial Instruments.

ii. Financial assets at amortized cost

Financial assets that meet the following conditions are subsequently measured at amortized cost:

i) The financial assets are held within a business model whose objective is to hold financial assets in order to collect contractual cash flows; and

ii) The contractual terms of the financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Subsequent to initial recognition, financial assets at amortized cost, including cash and cash equivalents, accounts receivables at amortized cost, other receivables and refundable deposits, are measured at amortized cost, which equals the gross carrying amount

determined using the effective interest method less any impairment loss. Exchange differences are recognized in profit or loss.

Interest income is calculated by applying the effective interest rate to the gross carrying amount of such a financial asset, except for:

i) Purchased or originated credit-impaired financial asset, for which interest income is calculated by applying the credit-adjusted effective interest rate to the amortized cost of such financial assets; and

ii) Financial asset that is not credit impaired on purchase or origination but has subsequently become credit impaired, for which interest income is calculated by applying the effective interest rate to the amortized cost of such financial assets in subsequent reporting periods.

Cash equivalents include time deposits and bonds with repurchase agreement with original maturities within 3 months from the date of acquisition, which are highly liquid, readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value. These cash equivalents are held for the purpose of meeting short-term cash commitments.

iii. Investments in equity instruments at FVTOCI

On initial recognition, the Group may make an irrevocable election to designate investments in equity instruments as at FVTOCI. Designation as at FVTOCI is not permitted if the equity investment is held for trading or if it is contingent consideration recognized by an acquirer in a business combination.

Investments in equity instruments at FVTOCI are subsequently measured at fair value with gains and losses arising from changes in fair value recognized in other comprehensive income and accumulated in other equity. The cumulative gain or loss will not be reclassified to profit or loss on disposal of the equity investments; instead, it will be transferred to retained earnings.

Dividends on these investments in equity instruments are recognized in profit or loss when the Group's right to receive the dividends is established, unless the dividends clearly represent a recovery of part of the cost of the investment.

b) Impairment of financial assets and contract assets

The Group recognizes a loss allowance for expected credit losses on financial assets at amortized cost (including accounts receivables), as well as contract assets.

The Group always recognizes lifetime expected credit losses (ECLs) for accounts receivables and contract assets. For all other financial instruments, the Group recognizes lifetime ECLs when there has been a significant increase in credit risk since initial recognition. If, on the other hand, the credit risk on a financial instrument has not increased significantly since initial recognition, the Group measures the loss allowance for that financial instrument at an amount equal to 12-month ECLs.

Expected credit losses reflect the weighted average of credit losses with the respective risks of default occurring as the weights. Lifetime ECLs represent the expected credit losses that will result from all possible default events over the expected life of a financial instrument. In contrast, 12-month ECLs represent the portion of lifetime ECLs that is expected to result from default events on a financial instrument that are possible within 12 months after the reporting date.

The impairment loss of all financial assets is recognized in profit or loss by a reduction in their carrying amounts through a loss allowance account, except for investments in debt instruments that are measured at FVTOCI, for which the loss allowance is recognized in other comprehensive income and the carrying amounts of such financial assets are not reduced.

c) Derecognition of financial assets

The Group derecognizes a financial asset only when the contractual rights to the cash flows from the asset expire or when it transfers the financial asset and substantially all the risks and rewards of ownership of the asset to another party.

IFRS 9 describes when a financial asset is derecognized in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable and the cumulative gain or loss which had been recognized in other comprehensive income is recognized in profit or loss. On derecognition of a financial asset at amortized cost in its entirety, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognized in profit or loss. However, on derecognition of an investment in an equity instrument at FVTOCI, the difference between the asset's carrying amount and the sum of the consideration received and receivable is recognized in profit or loss, and the cumulative gain or loss which had been recognized in other comprehensive income is transferred directly to retained earnings, without recycling through profit or loss.

2) Financial liabilities

a) Subsequent measurement

All financial liabilities of the Group are measured at amortized cost using the effective interest method.

b) Derecognition of financial liabilities

The difference between the carrying amount of a financial liability derecognized and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognized in profit or loss.

3) Equity instruments

Debt and equity instruments issued by the Group are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments issued by the Group are recognized at the proceeds received, net of direct issue costs.

The repurchase of the Company's own equity instruments is recognized in and deducted directly from equity, and its carrying amounts are calculated based on weighted average by share types. No gain or loss is recognized in profit or loss on the purchase, sale, issuance or cancellation of the Company's own equity instruments.

4) Convertible bonds

The component parts of compound instruments (i.e., convertible bonds) issued by the Group are classified separately as financial liabilities and equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

On initial recognition, the fair value of the liability component is estimated using the prevailing market interest rate for similar non-convertible instruments. This amount is recorded as a liability on an amortized cost basis using the effective interest method until extinguished upon conversion or upon the instrument's maturity date. Any embedded derivative liability is measured at fair value.

The conversion option classified as equity is determined by deducting the amount of the liability component from the fair value of the compound instrument as a whole. This is recognized and included in equity, net of income tax effects, and is not subsequently remeasured. In addition, the conversion option classified as equity will remain in equity until the conversion option is exercised; in which case, the balance recognized in equity will be transferred to capital surplus - share premiums. When the conversion option remains unexercised at maturity, the balance recognized in equity will be transferred to capital surplus - share premiums.

Transaction costs that relate to the issuance of the convertible notes are allocated to the liability and equity components in proportion to the allocation of the gross proceeds. Transaction costs relating to the equity component are recognized directly in equity. Transaction costs relating to the liability component are included in the carrying amount of the liability component.

l. Provisions

Provisions, including contractual obligations specified in lease agreements to maintain or restore the leased asset before returning it to the lessor, are measured at the best estimate of the discounted cash flows of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation.

m. Revenue recognition

The Group identifies contracts with customers, allocates the transaction price to the performance obligations and recognizes revenue when performance obligations are satisfied.

1) Revenue from the sale of goods

Revenue from the sale of goods is derived from the sale of ingredients and related items to franchisees, as well as food and beverage sales from company-operated stores.

Revenue and accounts receivables are recognized at the point in time when the goods are delivered to the location specified by the customer, as the franchisee obtains the right to use the goods at agreed prices, assumes primary responsibility for the sale of the goods, and bears the risk of obsolescence.

2) Licensing revenue

Licensing revenue is generated from the licensing of franchisee chain. The business practice of the Group is to continuously analyze consumers' preferences for products in order to launch new products, conduct pricing analysis and marketing activities, while the franchisee is required to launch new products. Since the aforementioned business practices do not transfer merchandises or services to the franchisee, the nature of the license is to provide the franchisee with access to intellectual property existing during the license period, and the original license fee is recognized as licensing revenue on a straight-line basis over the license period

n. Leases

At the inception of a contract, the Group assesses whether the contract is, or contains, a lease.

1) The Group as lessor

Leases are classified as finance leases whenever the terms of a lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

When the Group subleases a right-of-use asset, the sublease is classified by reference to the right-of-use asset arising from the head lease, not with reference to the underlying asset. However, if the head lease is a short-term lease that the Group, as a lessee, has accounted for applying recognition exemption, the sublease is classified as an operating lease.

The net investment in a lease is measured at (a) the present value of the sum of the lease payments receivable by a lessor and any unguaranteed residual value accrued to the lessor plus (b) initial direct costs and is presented as a finance lease receivable. Finance lease income is allocated to the relevant accounting periods so as to reflect a constant, periodic rate of return on the Group's net investment outstanding in respect of leases. For a lease modification that is not accounted for as a separate lease, if the lease would have been classified as an operating lease had the modification been in effect at the inception date, the Group accounts for the lease modification as a new lease and measures the carrying amount underlying asset as the finance lease receivables immediately before the effective date of the lease modification.

Lease payments (less any lease incentives payable) from operating leases are recognized as income on a straight-line basis over the terms of the relevant leases. Initial direct costs incurred in obtaining operating leases are added to the carrying amounts of the underlying assets and recognized as expenses on a straight-line basis over the lease terms.

2) The Group as lessee

The Group recognizes right-of-use assets and lease liabilities for all leases at the commencement date of a lease, except for short-term leases and low-value asset leases accounted for by applying a recognition exemption where lease payments are recognized as expenses on a straight-line basis over the lease terms.

Right-of-use assets are initially measured at cost, which comprises the initial measurement of lease liabilities adjusted for lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs needed to restore the underlying assets, and less any lease incentives received. Right-of-use assets are subsequently measured at cost less accumulated depreciation and impairment losses and adjusted for any remeasurement of the lease liabilities. Right-of-use assets are presented on a separate line in the consolidated balance sheets.

Right-of-use assets are depreciated using the straight-line method from the commencement dates to the earlier of the end of the useful lives of the right-of-use assets or the end of the lease terms. However, if leases transfer ownership of the underlying assets to the Group by the end of the lease terms or if the costs of right-of-use assets reflect that the Group will exercise a purchase option, the Group depreciates the right-of-use assets from the commencement dates to the end of the useful lives of the underlying assets.

Lease liabilities are initially measured at the present value of the lease payments, which comprise fixed payments, in-substance fixed payments, variable lease payments which depend on an index or a rate, and payments of penalties for terminating a lease if the lease term reflects such termination, less any lease incentives receivable. The lease payments are discounted using the interest rate implicit in a lease, if that rate can be readily determined. If that rate cannot be readily determined, the lessee's incremental borrowing rate will be used.

Subsequently, lease liabilities are measured at amortized cost using the effective interest method, with interest expense recognized over the lease terms. When there is a change in a lease term, a change in the amounts expected to be payable under a residual value guarantee, a change in the assessment of an option to purchase an underlying asset, or a change in future lease payments

resulting from a change in an index or a rate used to determine those payments, the Group remeasures the lease liabilities with a corresponding adjustment to the right-of-use-assets. However, if the carrying amount of the right-of-use assets is reduced to zero, any remaining amount of the remeasurement is recognized in profit or loss. For a lease modification that is not accounted for as a separate lease, the Group accounts for the remeasurement of the lease liability by (a) decreasing the carrying amount of the right-of-use asset of lease modifications that decreased the scope of the lease, and recognizing in profit or loss any gain or loss on the partial or full termination of the lease; (b) making a corresponding adjustment to the right-of-use asset of all other lease modifications. Lease liabilities are presented on a separate line in the consolidated balance sheets.

Variable lease payments that do not depend on an index or a rate are recognized as expenses in the periods in which they are incurred.

o. Borrowing costs

Borrowing costs directly attributable to an acquisition, construction or production of qualifying assets are added to the cost of those assets, until such time as the assets are substantially ready for their intended use or sale.

Investment income earned on the temporary investment of specific borrowings pending their expenditure on qualifying assets is deducted from the borrowing costs eligible for capitalization.

Other than those stated above, all other borrowing costs are recognized in profit or loss in the period in which they are incurred.

p. Government grants

Government grants are not recognized until there is reasonable assurance that the Group will comply with the conditions attached to them and that the grants will be received.

Government grants related to income are recognized in other income on a systematic basis over the periods in which the Group recognizes as expenses the related costs that the grants intend to compensate.

Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs are recognized in profit or loss in the period in which they are received.

q. Employee benefits

Government grants that compensate for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs are recognized in profit or loss in the period in which they are received.

1) Short-term employee benefits

Liabilities recognized in respect of short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for the related services.

2) Retirement benefits

Payments to defined contribution retirement benefit plans are recognized as expenses when employees have rendered services entitling them to the contributions.

Defined benefit costs (including service cost, net interest and remeasurement) under defined benefit retirement benefit plans are determined using the projected unit credit method. Service cost

(including current service cost) and net interest on the net defined benefit liabilities (assets) are recognized as employee benefits expense in the period in which they occur. Remeasurement, comprising actuarial gains and losses and the return on plan assets (excluding interest), is recognized in other comprehensive income in the period in which it occurs. Remeasurement recognized in other comprehensive income is reflected immediately in other equity and will not be reclassified to profit or loss.

Net defined benefit liabilities (assets) represent the actual deficit (surplus) in the Group's defined benefit plans. Any surplus resulting from this calculation is limited to the present value of any refunds from the plans or reductions in future contributions to the plans.

r. Share-based payment arrangements

Equity-settled share-based payment arrangements granted to employees

The fair value at the grant date of the equity-settled share-based payments is expensed on a straight-line basis over the vesting period, based on the Group's best estimates of the number of shares or options that are expected to ultimately vest. The expense is recognized in full at the grant date if the grants are vested immediately. The grant date of equity-settled share-based payment arrangements granted to employees is the date on which the number of shares to be purchased by the employees is confirmed.

s. Taxation

Income tax expense represents the sum of the tax currently payable and deferred tax.

1) Current tax

Income tax payable (recoverable) is based on taxable profit (loss) for the year determined according to the applicable tax laws of each tax jurisdiction.

According to the Income Tax Act in the ROC, an additional tax on unappropriated earnings is provided for in the year the shareholders approve to retain earnings.

Adjustments of prior years' tax liabilities are added to or deducted from the current year's tax provision.

2) Deferred tax

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities are generally recognized for all taxable temporary differences. Deferred tax assets are generally recognized for all deductible temporary differences and unused loss carry forwards to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilized.

Deferred tax liabilities are recognized for taxable temporary differences associated with investments in subsidiaries and associates and interests in joint ventures, except where the Group is able to control the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with such investments and interests are recognized only to the extent that it is probable that there will be sufficient taxable profits against which to utilize the benefits of the temporary differences and such temporary differences are expected to reverse in the foreseeable future.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the assets to be recovered. A previously unrecognized deferred tax asset is also reviewed at the end of each reporting period and recognized to the extent that it has become probable that future taxable profit will allow the deferred tax asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liabilities are settled or the assets are realized, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

3) Current and deferred taxes

Current and deferred taxes are recognized in profit or loss, except when they relate to items that are recognized in other comprehensive income or directly in equity; in which case, the current and deferred taxes are also recognized in other comprehensive income or directly in equity, respectively.

Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

5. MATERIAL ACCOUNTING JUDGMENTS AND KEY SOURCES OF ESTIMATION UNCERTAINTY

In the application of the Group's accounting policies, management is required to make judgments, estimations, and assumptions on the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered relevant. Actual results may differ from these estimates.

When developing material accounting estimates, the Group considers the possible impact of climate change and related government policies and regulations on the cash flow projection, growth rates, discount rates, profitabilities and other relevant material estimates. The estimates and underlying assumptions are reviewed on an ongoing basis.

Key Sources of Estimation Uncertainty

a. Estimated impairment of financial assets

The provision for impairment of accounts receivables and investments in debt instruments is based on assumptions on probability of default and loss given default. The Group uses judgment in making these assumptions and in selecting the inputs to the impairment calculation, based on the Group's historical experience, existing market conditions as well as forward looking estimates as of the end of each reporting period. For details of the key assumptions and inputs used, see Note 9 "Credit risk management for investments in debt instruments" and Note 11 "Accounts receivables and other receivables". Where the actual future cash inflows are less than expected, a material impairment loss may arise. Furthermore, the estimate of the probability of default is subject to greater uncertainties due to the impact on credit risk of financial assets arising from the uncertain impact and volatility in financial markets caused by inflation and interest rate fluctuations.

b. Write-down of inventories

The net realizable value of inventories is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale. The estimation of net realizable value is based on current market conditions and historical experience in the sale of product of a similar nature. Changes in market conditions may have a material impact on the estimation of the net realizable value.

6. CASH AND CASH EQUIVALENTS

	December 31	
	2025	2024
Cash on hand and working capital	$ 6,640	$ 9,776
Checking accounts and demand deposits	1,035,437	819,094
Cash equivalents (investments with original maturities of 3 months or less)		
Time deposits	475,943	133,279
	$1,518,020	$ 962,149

The interest rate ranges at the balance sheet date for bank deposits were as follows:

	December 31	
	2025	2024
Bank deposits	0%-1.645%	0%-4.55%

7. FINANCIAL INSTRUMENTS AT FAIR VALUE THROUGH PROFIT OR LOSS

	December 31	
	2025	2024
Financial assets mandatorily classified as at FVTPL		
Non-derivative financial assets		
Mutual fund beneficiary certificates	$ -	$ 120,125
Hybrid financial assets		
Structured deposits	120,017	130,265
Call options of convertible corporate bonds (Note 36)	400	-
	$ 120,417	$ 250,390

The Group has entered into a structured time deposit agreement with a financial institution. This structured time deposit includes an embedded derivative that is not closely related to the host contract. Since the host contract of this hybrid contract is an asset within the scope of IFRS 9, the entire hybrid contract is required to be classified as measured at fair value through profit or loss.

8. FINANCIAL ASSETS AT AMORTIZED COST

	December 31	
	2025	2024
Current		
Time deposits with original maturities of more than 3 months	$ 490,001	$ 108,550
Corporate bonds - First Commercial Bank	19,721	-
	$ 509,722	$ 108,550
Non-current		
Corporate bonds - First Commercial Bank	$ -	$ 9,780

The interest rate ranges were as follows:

	December 31	
	2025	2024
Time deposits with original maturities of more than 3 months	1.285%-3.55%	1.285%-4.1%
Corporate bonds		
Coupon rate	0.52%	0.52%
Effective interest rate	0.82%-1.28%	1.28%

9. CREDIT RISK MANAGEMENT FOR INVESTMENTS IN DEBT INSTRUMENTS

Investments in debt instruments classified as at amortized cost was as follows:

	December 31	
	2025	2024
Gross carrying amount	$ 509,722	$ 118,330
Less: Allowance for impairment loss	-	-
Amortized cost	$ 509,722	$ 118,330

The credit risk associated with the Group's bank deposits and other financial instruments is measured and monitored by the Group's finance department. Since the Group's counterparties and trading partners are reputable banks and financial institutions, as well as corporate organizations with investment-grade ratings or higher, there are no significant concerns regarding performance, and therefore, no significant credit risk.

The Group's current credit risk grading mechanism and the gross carrying amounts of debt instrument investments classified by credit rating were shown below:

Credit rating	Description	Basis for Recognizing Expected Credit Losses (ECLs)	Expected Loss Rate	Gross Carrying Amount as of December 31	
				2025	2024
Normal	The counterparty has a low risk of default and a strong capacity to meet contractual cash flows	12m ECLs	0%	$ 509,722	$ 118,330

10. FINANCIAL ASSETS AT FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME

Investment in Equity Instruments at Fair Value Through Other Comprehensive Income (FVTOCI)

	December 31	
	2025	2024
Non-current		
Domestic investments		
Unlisted shares		
Ordinary shares - WiXtar Corporation	$ 3,750	$ 3,750

The Group invested in the common stock of WiXtar Corporation for medium- and long-term strategic purposes and expects to earn profits from the long-term investment. The management of the Group considers that it is inconsistent with the aforementioned long-term investment plan to include short-term fair value fluctuations of these investments in profit or loss, and therefore elects to designate these investments as measured at fair value through other comprehensive income or loss.

Dividends of $32 thousand was recognized during 2024. Those related to investments held at December 31, 2024 was $32 thousand.

11. ACCOUNTS RECEIVABLES AND OTHER RECEIVABLES

	December 31	
	2025	2024
Accounts receivables		
At amortized cost		
Gross carrying amount		
Non-related parties	$ 178,850	$ 178,386
Related parties	1,250	1,232
Less: Allowance for impairment loss	(1,461)	(1,511)
	$ 178,639	$ 178,107
Other receivables		
Proceeds receivable from disposal of equipment	$ 72	$ 767
Interest receivable	496	225
Receivables from related parties	1	-
Others	6,065	4,292
	$ 6,634	$ 5,284

a. Accounts and notes receivable

The Group's sales of goods to franchise customers are based on the credit period agreed upon by both parties, and the credit period is 3 to 15 days. Cash (or EasyCard and mobile payment) is mostly used for collection and payment for food and beverage sales, except for accounts receivable from some locations in hypermarkets or department stores and those from conglomerate partnerships, which are mainly based on the credit period negotiated by both parties, with the credit period ranging from 30 to 90 days after the monthly cut-off date. In determining the recoverability of accounts receivable, the

Group considers any changes in the credit quality of accounts receivable from the original credit date to the balance sheet date.

To mitigate credit risk, the Group's management assigns a dedicated team to determine credit limits, approve credit facilities and other monitoring procedures to ensure that appropriate actions are taken to collect overdue receivables. In addition, the Group reviews the recoverable amounts of receivables on a case-by-case basis at the balance sheet date to ensure that appropriate impairment losses have been provided for uncollectible receivables. Accordingly, the Company's management believes that the credit risk of the Group has been significantly reduced.

The Group uses the simplified IFRS 9 method to recognize an allowance for losses on accounts receivable based on expected credit losses over the duration of the receivables. The expected credit losses for the duration of the period are calculated using an allowance matrix, which takes into account the customer's past default history and current financial condition, the economic situation of the industry, as well as the GDP forecast and industry outlook. Since the credit loss history of the Group shows that there is no significant difference in the loss patterns of different customer groups, the allowance matrix does not further differentiate between customer groups and only uses the number of days to establish accounts receivable to determine the expected credit loss rate.

If there is evidence that the counterparty is in serious financial difficulty and the Group cannot reasonably expect to recover the amount, for example, if the counterparty is in liquidation or the debt has been outstanding for more than 120 days, the Group directly writes off the related receivables, but continues the recovery activities, and the amount recovered from the recovery is recognized in profit or loss.

The following table details the loss allowance of accounts receivables based on the Group’s provision matrix.

December 31, 2025

	0 to 30 Days	31 to 60 Days	61 to 90 Days	91 to 120 Days	Over 120 Days	Total
Expected credit loss rate	0.02%-0.06%	0.33%-4.69%	15.97%-19.69%	29.25%-40.67%	100%-100%	
Gross carrying amount	$ 174,506	$ 5,151	$ 116	$ -	$ 327	$ 180,100
Loss allowance (Lifetime ECLs)	(983)	(128)	(23)	-	(327)	(1,461)
Amortized cost	$ 173,523	$ 5,023	$ 93	$ -	$ -	$ 178,639

December 31, 2024

	0 to 30 Days	31 to 60 Days	61 to 90 Days	91 to 120 Days	Over 120 Days	Total
Expected credit loss rate	0.01%-0.76%	0.09%-14.27%	5.65%-30.66%	13.71%-64.45%	100%	
Gross carrying amount	$ 176,579	$ 2,436	$ 176	$ 91	$ 336	$ 179,618
Loss allowance (Lifetime ECLs)	(739)	(347)	(52)	(37)	(336)	(1,511)
Amortized cost	$ 175,840	$ 2,089	$ 124	$ 54	$ -	$ 178,107

The above is an aging analysis based on the number of days since initial recognition of the accounts receivables.

The movements of the loss allowance of accounts receivables were as follows:

	For the years ended December 31	
	2025	2024
Balance at January 1	$ 1,511	$ 1,565
Amounts written off	-	(133)
Foreign exchange gains and losses	(50)	79
Balance at December 31	$ 1,461	$ 1,511

b. Other receivables

No interest is charged on other receivables. In order to minimize credit risk, the management of the Group has delegated a team responsible for determining credit limits, credit approvals and other monitoring procedures to ensure that follow-up action is taken to recover overdue debts. In addition, the Group reviews the recoverable amount of each individual trade debt at the end of the year to ensure that adequate allowance is made for possible irrecoverable amounts.

12. LEASE RECEIVABLES

	December 31	
	2025	2024
Current	$ 26,004	$ 29,931
Non-current	46,459	32,807
	$ 72,463	$ 62,738
Undiscounted lease payments		
Year 1	$ 28,144	$ 31,520
Year 2	17,517	19,298
Year 3	12,718	8,684
Year 4	9,679	3,329
Year 5	6,545	780
Year 6 onwards	-	715
	74,603	64,326
Unrealized interest income receivable	(2,140)	(1,588)
Lease receivables	$ 72,463	$ 62,738

The Group has been subleasing its leased retail stores to franchisees with annual fixed lease payments. All these leases are denominated in New Taiwan dollars. As the Group subleases the retail stores for all the remaining lease term of the main lease to the sublessee, the subleases are classified as lease receivables.

The interest rates inherent in leases are fixed at the contract dates for the entire term of the lease. The ranges of interest rates inherent in the finance leases were approximately 1.42%-1.75% per annum as of December 31, 2025 and 2024.

The Group measures the loss allowance for finance lease receivables at an amount equal to lifetime ECLs. As of December 31, 2025, no finance lease receivable was past due. The Group has not recognized a loss allowance for lease receivables after taking into consideration the historical default experience and the future prospects of the industries in which the lessees operate, together with the value of collateral held over these lease receivables.

13. INVENTORIES

	December 31	
	2025	2024
Raw materials	$ 340,281	$ 200,214
Semi-finished goods	17,624	15,221
Finished goods	37,026	29,067
Merchandise inventory	50,781	54,451
	$ 445,712	$ 298,953

The nature of cost of goods sold is as follows:

	For the years ended December 31	
	2025	2024
Cost of inventories sold	$ 5,623,236	$ 5,250,164
Inventory write-downs	6,059	-
	$ 5,629,295	$ 5,250,164

14. SUBSIDIARIES

a. Subsidiaries included in consolidated financial statements

			Proportion of Ownership (%) December 31		
Investor	Investee	Nature of activities	2025	2024	Remark
Bafang Yunji International Co., Ltd.	Bafang Yunji (Samoa) International Co., Ltd.	Holding	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji International (USA) Limited	Holding	100%	100%	3)
Bafang Yunji International Co., Ltd.	Bafang Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji International Company Limited	Food and beverage manufacturing and sales	100%	100%	-
Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	-
Bafang Yunji International Co., Ltd.	Dante Coffee & Foods Co., Ltd.	Food and beverage manufacturing and sales	100%	100%	-
Bafang Yunji International Co., Ltd.	Ji Yuan Foods Co., Ltd.	Livestock products manufacturing and sales	100%	100%	1)
Bafang Yunji International Co., Ltd.	Fang Sin International Trading Co., Ltd.	International Trade	100%	100%	-
Bafang Yunji (Samoa) International Co., Ltd.	Bafang Yunji Restaurant Group Limited	Holding	-	100%	9)
Bafang Yunji International Company Limited	Jiashide Limited	Holding	100%	100%	-
Bafang Yunji International Company Limited	Hsin Chiao International Co. Limited	Transportation	100%	100%	-
Bafang Yunji International Company Limited	Long Success (HK) Industrial Limited	Food and beverage manufacturing and sales	100%	100%	-
Bafang Yunji International Company Limited	Rich Grade Limited	Food and beverage manufacturing and sales	100%	100%	-
Bafang Yunji International Company Limited	Wise Success Enterprise Limited	Transportation	100%	100%	-
Jiashide Limited	Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Food wholesale	100%	100%	-
Bafang Yunji International (USA) Limited	Bafang Yunji Foods LLC	Food and beverage manufacturing and sales	60%	60%	4), 6)
Bafang Yunji International (USA) Limited	Bafang Yunji Franchise (USA) Co.	Franchising	100%	100%	2)
Bafang Yunji International (USA) Limited	Bafang Yunji Restaurant Group LLC	Food and beverage manufacturing and sales	60%	60%	4), 5)
Bafang Yunji International (USA) Limited	Bafang Yunji Texas Corporation	Holding	60%	60%	7)

Investor	Investee	Nature of activities	Proportion of Ownership (%) December 31 2025	Proportion of Ownership (%) December 31 2024	Remark
Bafang Yunji Texas Corporation	Bafang Yunji Foods Texas LLC	Food and beverage manufacturing and sales	100%	100%	7)
Bafang Yunji Texas Corporation	Bafang Yunji Restaurant Group Texas LLC	Food and beverage manufacturing and sales	100%	-	8)

1) Ji Yuan Food Co., Ltd., located in Tamsui District, New Taipei City, was established on March 28, 2024. Bafang Yunji International Co., Ltd. invested $30,000 thousand and obtained 60% of the equity. Its main business is livestock product processing and retail. In addition, the Group invested $182,500 thousand in Ji Yuan Food Co., Ltd. on August 3, 2024. The capital injection was not processed in accordance with the shareholding ratio so that the retained earnings were reduced by $9 thousand. After the capital injection, the shareholding ratio is 85%. Additionally, on December 31, 2024, the Group acquired a 15% equity stake for $37,500 thousand in cash, increasing its ownership from 85% to 100%.

2) In August 2024, the Group invested $16,140 thousand (USD 500 thousand) to establish Bafang Yunji Franchise (USA) Co. with 100% shareholding ratio.

3) On February 5, June 14, July 12, and October 9 of 2024; and on January 22 , August 20 and October 9 of 2025, the Group invested in total of $300,004 thousand (USD 9,400 thousand) and $225,560 thousand (USD 7,200 thousand) in Bafang Yunji International (USA) Limited, respectively.

4) Bafang Yunji Foods LLC and Bafang Yunji Restaurant Group LLC processed cash capital reduction on April 1, 2024, which increased the shareholding ratio from 59.25% to 60%. The capital reduction was not processed in accordance with the shareholding ratio so that the retained earnings were reduced by $509 thousand.

5) The Group invested in Bafang Yunji Restaurant Group LLC by $20,197 thousand (US$626 thousand) on June 14, 2024. After the capital increase, the shareholding ratio was 60%.

6) The Group invested in Bafang Yunji Foods LLC by $20,594 thousand (US$632 thousand) and $19,548 thousand (US$600 thousand) on July 15, 2024, and August 21, 2025, respectively. After the capital increase, the shareholding ratio was 60%.

7) The Group made cash investments of $231,732 thousand (US$7,200 thousand) on October 11, 2024, and NT$385,080 thousand (US$12,000 thousand) on October 24, 2024, to establish Bafang Yunji Texas Corporation and Bafang Yunji Foods Texas LLC, with shareholding ratio of 60% and 100%, respectively. In addition, on January 22, October 3 and October 20 of 2025, the Group made capital injections of $207,621 thousand (US$6,600 thousand) and $183,750 thousand (US$6,000 thousand) into Bafang Yunji Texas Corporation and Bafang Yunji Foods Texas LLC.

8) The Group made a cash investment of $148,163 thousand (US$4,500 thousand) on March 3, 2025, to establish Bafang Yunji Restaurant Group Texas LLC, with shareholding ratio of 100%.

9) Bafang Yunji Restaurant Group Limited was dissolved in February 2025.

For information on the principal place of business and the country of incorporation, refer to Note 42, Exhibit 6, “Information on investees, locations, etc.” and Exhibit 7, “Information on investment in Mainland China”.

b. Subsidiaries excluded from the consolidated financial statements: None.

c. Details of subsidiaries that have material non-controlling interests

Name of Subsidiary	Principal Place of Business	Proportion of Ownership and Voting Rights Held by Non-controlling Interests December 31 2025	2024
Bafang Yunji Foods LLC	United States	40.00%	40.00%
Bafang Yunji Restaurant Group LLC	United States	40.00%	40.00%
Bafang Yunji Texas Corporation	United States	40.00%	40.00%

Name of Subsidiary	Profit (Loss) Allocated to Non-controlling Interests For the years ended December 31 2025	2024	Accumulated Non-controlling Interests December 31 2025	2024
Bafang Yunji Foods LLC	$ (12,507)	$ (12,953)	$ 27,932	$ 29,172
Bafang Yunji Restaurant Group LLC	(3,214)	2,470	50,825	56,396
Bafang Yunji Texas Corporation	(13,612)	(482)	274,963	156,876
Others	-	47	-	-
	$ (29,333)	$ (10,918)	$ 353,720	$ 242,444

Summarized financial information in respect of each of the Group's subsidiaries that has material non-controlling interests is set out below. The summarized financial information below represents amounts before intragroup eliminations.

December 31, 2025

	Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	Bafang Yunji Texas Corporation
Current assets	$ 57,381	$ 65,895	$ 231,054
Non-current assets	192,669	748,185	464,166
Current liabilities	(72,597)	(167,853)	(7,062)
Non-current liabilities	(107,624)	(519,164)	(750)
Equity	$ 69,829	$ 127,063	$ 687,408
Equity attributable to:			
Owners of Company	$ 41,897	$ 76,238	$ 412,445
Non-controlling interests	27,932	50,825	274,963
	$ 69,829	$ 127,063	$ 687,408

December 31, 2024

	Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	Bafang Yunji Texas Corporation
Current assets	$ 58,267	$ 48,946	$ 176,842
Non-current assets	189,735	578,987	216,232
Current liabilities	(47,423)	(130,675)	(885)
Non-current liabilities	(127,648)	(356,267)	-
Equity	$ 72,931	$ 140,991	$ 392,189
Equity attributable to:			
Owners of Company	$ 43,759	$ 84,595	$ 235,313
Non-controlling interests	29,172	56,396	156,876
	$ 72,931	$ 140,991	$ 392,189

For the years ended December 31, 2025

	Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	Bafang Yunji Texas Corporation
Revenue	$ 226,433	$ 655,088	$ -
Net profit from continuing operations	$ (31,267)	$ (8,036)	$ (34,029)
Profit for the year	(31,267)	(8,036)	(34,029)
Other comprehensive income for the year	(4,415)	(5,892)	(16,788)
Total comprehensive income for the year	$ (35,682)	$ (13,928)	$ (50,817)
Profit attributable to:			
Owners of Company	$ (18,760)	$ (4,822)	$ (20,417)
Non-controlling interests	(12,507)	(3,214)	(13,612)
	$ (31,267)	$ (8,036)	$ (34,029)
Total comprehensive income attributable to:			
Owners of Company	$ (21,409)	$ (8,357)	$ (30,491)
Non-controlling interests	(14,273)	(5,571)	(20,326)
	$ (35,682)	$ (13,928)	$ (50,817)

For the years ended December 31, 2024

	Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	Bafang Yunji Texas Corporation
Revenue	$ 197,314	$ 554,543	$ -
Net profit from continuing operations	$ (32,257)	$ 5,875	$ (1,205)
Profit for the year	(32,257)	5,875	(1,205)
Other comprehensive income for the year	3,595	7,159	7,174
Total comprehensive income for the year	$ (28,662)	$ 13,034	$ 5,969
Profit attributable to:			
Owners of Company	$ (19,304)	$ 3,405	$ (723)
Non-controlling interests	(12,953)	2,470	(482)
	$ (32,257)	$ 5,875	$ (1,205)
Total comprehensive income attributable to:			
Owners of Company	$ (17,386)	$ 7,682	$ 3,580
Non-controlling interests	(11,276)	5,352	2,389
	$ (28,662)	$ 13,034	$ 5,969

15. PROPERTY, PLANT AND EQUIPMENT

	December 31	
	2025	2024
Assets used by the Group	$ 3,292,432	$ 2,879,204

Assets Used by the Group

	Land	Building and Construction	Transportation Equipment	Food and Beverage Equipment	Office Equipment	Machinery Equipment	Leasehold Improvements	Other Equipment	Unfinished Construction and Equipment Pending Acceptance	Total
Cost										
Balance at January 1, 2025	$ 851,665	$ 1,008,118	$ 86,586	$ 379,095	$ 28,132	$ 751,178	$ 648,732	$ 120,811	$ 320,656	$ 4,194,973
Additions	20,821	74,666	17,644	40,218	1,353	94,456	123,859	57,641	289,534	720,192
Reclassification	-	123	5,103	1,264	(1,216)	81,590	24,131	22,079	(29,336)	103,738
Disposals	-	-	(5,867)	(67,771)	(798)	(12,146)	(81,001)	(21,075)	(62)	(188,720)
Effects of foreign currency exchange differences	(3,660)	(20,860)	(1,129)	(5,674)	(942)	(4,009)	(14,408)	103	(760)	(51,339)
Balance at December 31, 2025	$ 868,826	$ 1,062,047	$ 102,337	$ 347,132	$ 26,529	$ 911,069	$ 701,313	$ 179,559	$ 580,032	$ 4,778,844
Accumulated depreciation and impairment										
Balance at January 1, 2025	$ -	$ 189,612	$ 47,321	$ 242,622	$ 19,392	$ 465,506	$ 275,299	$ 76,017	$ -	$ 1,315,769
Depreciation expenses	-	36,229	13,084	49,795	3,618	92,952	66,273	16,945	-	278,896
Disposals	-	-	(5,248)	(42,679)	(634)	(1,166)	(42,132)	(333)	-	(92,192)
Effects of foreign currency exchange differences	-	(2,338)	(750)	(3,842)	(589)	(3,032)	(5,445)	(65)	-	(16,061)
Balance at December 31, 2025	-	223,503	54,407	245,896	21,787	554,260	293,995	92,564	-	1,486,412
Carrying amount at December 31, 2025	$ 868,826	$ 838,544	$ 47,931	$ 101,236	$ 4,742	$ 356,807	$ 407,317	$ 86,995	$ 580,032	$ 3,292,432

(Continued)

	Land	Building and Construction	Transportation Equipment	Food and Beverage Equipment	Office Equipment	Machinery Equipment	Leasehold Improvements	Other Equipment	Unfinished Construction and Equipment Pending Acceptance	Total
Cost										
Balance at January 1, 2024	$ 804,845	$ 779,270	$ 70,767	$ 369,121	$ 26,523	$ 694,445	$ 542,835	$ 116,620	$ 83,793	$ 3,488,219
Additions	47,171	204,610	16,043	55,441	3,506	26,747	47,504	5,017	352,374	758,413
Reclassification	-	-	-	1,639	(1,734)	34,616	121,453	668	(115,912)	40,730
Disposals	-	-	(2,091)	(55,258)	(1,651)	(10,838)	(82,227)	(1,662)	(3,332)	(157,059)
Effects of foreign currency exchange differences	(351)	24,238	1,867	8,152	1,488	6,208	19,167	168	3,733	64,670
Balance at December 31, 2024	$ 851,665	$ 1,008,118	$ 86,586	$ 379,095	$ 28,132	$ 751,178	$ 648,732	$ 120,811	$ 320,656	$ 4,194,973
Accumulated depreciation and impairment										
Balance at January 1, 2024	$ -	$ 157,165	$ 37,924	$ 212,677	$ 16,585	$ 384,653	$ 236,501	$ 64,179	$ -	$ 1,109,684
Reclassification	-	-	-	32	-	-	-	-	-	32
Depreciation expenses	-	29,660	10,342	56,851	3,329	86,263	67,546	13,321	-	267,312
Disposals	-	-	(2,091)	(32,773)	(1,422)	(9,991)	(37,356)	(1,626)	-	(85,259)
Effects of foreign currency exchange differences	-	2,787	1,146	5,835	900	4,581	8,608	143	-	24,000
Balance at December 31, 2024	-	189,612	47,321	242,622	19,392	465,506	275,299	76,017	-	1,315,769
Carrying amount at December 31, 2024	$ 851,665	$ 818,506	$ 39,265	$ 136,473	$ 8,740	$ 285,672	$ 373,433	$ 44,794	$ 320,656	$ 2,879,204

(Concluded)

The above items of property, plant and equipment used by the Group are depreciated on a straight-line basis over their estimated useful lives as follows:

Building and construction	
Plant main building	22-50 years
Wastewater treatment equipment	10 years
Renovation construction	4-5 years
Transportation equipment	1-7 years
Office equipment	1-10 years
Machinery equipment	1-10 years
Leasehold improvements	2-20 years
Other equipment	3-15 years

In 2025, the Group purchased land classified as agricultural and livestock use in the Tianyuan Section of Tamsui District, New Taipei City, under the chairperson's name, for a total price of NT$20,821 thousand. The Group has executed a real estate nominee registration agreement, stipulating that, without consent, the registered owner may not transfer or encumber the property, as an appropriate safeguard measure.

Property, plant and equipment used by the Group and pledged as collateral for bank borrowings are set out in Note 38.

16. LEASE AGREEMENTS

a. Right-of-use assets

	December 31	
	2025	2024
Carrying amount		
Land	$ 131,393	$ 139,784
Buildings	1,261,837	1,245,133
Transportation equipment	140,753	106,834
	$ 1,533,983	$ 1,491,751

	For the years ended December 31	
	2025	2024
Addition of right-of-use assets		
Buildings	$ 595,191	$ 667,040
Transportation equipment	89,980	49,469
	$ 685,171	$ 716,509
Depreciation expenses of right-of-use assets		
Land	$ 8,391	$ 8,391
Buildings	419,543	428,260
Transportation equipment	55,746	53,073
	$ 483,680	$ 489,724

b. Lease liabilities

	December 31	
	2025	2024
Carrying amount		
Current	$ 415,115	$ 444,828
Non-current	$ 1,227,900	$ 1,134,848

Range of discount rate for lease liabilities was as follows:

	December 31	
	2025	2024
Land	1.42%	1.42%
Buildings	1.25%-6.6%	1.25%-4.75%
Transportation equipment	1.25%-1.75%	1.25%-1.75%

c. Material leasing activities and terms

The Group leases certain land and buildings for the use of plants and offices with lease terms of 1 to 20 years. The Group does not have bargain purchase options to acquire the leasehold land and buildings at the end of the lease terms.

The Group recognized lease modification gains of $2,038 thousand and $1,135 thousand for the years ended December 31, 2025 and 2024, respectively, as a result of lease modifications.

d. Subleases

The maturity analysis of lease payments receivable under operating subleases was as follows:

	December 31	
	2025	2024
Year 1	$ 3,097	$ 3,503
Year 2	2,029	724
Year 3	1,979	600
Year 4	714	550
Year 5	-	-
Year 6 onwards	-	-
	$ 7,819	$ 5,377

e. Other lease information

	For the years ended December 31	
	2025	2024
Expenses relating to short-term leases	$ 15,795	$ 16,582
Expenses relating to low-value asset leases	$ 758	$ 1,359
Expenses relating to variable lease payments not included in the measurement of lease liabilities	$ 7,553	$ 10,709
Total cash (outflow) for leases	$ (563,255)	$ (583,390)

The Group's leases of certain office equipment qualify as low-value asset leases. The Group has elected to apply the recognition exemption and thus, did not recognize right-of-use assets and lease liabilities for these leases.

All lease commitments (the Group as a lessee) with lease terms commencing after the balance sheet dates are as follows:

	December 31	
	2025	2024
Lease commitments	$ 325,035	$ 208,420

17. OTHER INTANGIBLE ASSETS

	For the years ended December 31	
	2025	2024
Cost		
Balance at the beginning of the year	$ 46,151	$ 42,176
Additions	12,572	4,439
Disposals	(734)	(851)
Reclassification	-	(58)
Effect of foreign currency exchange differences	(287)	445
Balance at the end of the year	$ 57,702	$ 46,151
Accumulated amortization		
Balance at the beginning of the year	$ 28,677	$ 23,619
Amortization expenses	5,764	5,542
Disposals	(720)	(851)
Reclassification	-	(32)
Effect of foreign currency exchange differences	(264)	399
Balance at the end of the year	$ 33,457	$ 28,677
Carrying amount at the end of the year	$ 24,245	$ 17,474

Other intangible assets are amortized on a straight-line basis over their estimated useful lives as follows:

Computer software	3-10 years

18. PREPAYMENTS

	December 31	
	2025	2024
Prepaid rent	$ 8,727	$ 7,089
Prepaid insurance	4,323	3,217
Prepayments for goods	90,147	89,869
Supplies inventory	6,298	6,725
Others	40,913	42,215
	$ 150,408	$ 149,115

Prepayments for Goods

The Group's prepayments for goods primarily represent advance payments made in accordance with purchase agreements entered into with domestic and foreign suppliers.

19. OTHER ASSETS

	December 31	
	2025	2024
Current		
Temporary payments	$ 306	$ 230
Other financial assets - current (a)	36,438	1,861
Others	3,086	696
	$ 39,830	$ 2,787
Non-current		
Prepayments for equipment (b)	$ 145,775	$ 111,184
Refundable deposits (c)	$ 172,570	$ 177,875

a. Other financial assets - restricted bank deposits

The Group's other financial assets-restricted bank demand deposits are mainly electronic transfer service of money and trust lodgments for the issuance of stored value cards and gift certificates, as described in Note 38.

b. Prepayments for equipment

The Group’s prepayments for equipment are advanced payments for the purchase of property, plant and equipment used in the production of products or services.

c. Refundable deposits

The refundable deposits are cash pledges provided by the Group under lease agreements to acquire the real estate right-of-use assets in its sales stores.

20. BORROWINGS

a. Short-term borrowings

	December 31	
	2025	2024
Unsecured borrowings	$ 110,005	$ 181,963

The interest rate ranges were as follows:

	December 31	
	2025	2024
Unsecured borrowings	5.62%-6.78%	1.68%-7.38%

b. Long-term borrowings

	Maturity Date	Significant Terms	Effective Interest Rate	December 31 2025	December 31 2024
Secured borrowings (Note 38)					
TOYOTA FINANCE					
Mortgage borrowings	2022.3.23-2027.4.22	The total borrowing amount of US$36,726 is repayable in 60 installments of principal, starting from March 23, 2022. Interest is accrued and paid on a monthly basis.	3.9%	310	571
Mortgage borrowings	2022.12.24-2027.12.24	The total borrowing amount of US$28,326 is repayable in 60 installments of principal, starting from December 24, 2022. Interest is accrued and paid on a monthly basis.	1.99%	367	568
Bank SinoPac					
Bank loans	2025.10.15-2028.10.15	The total loan amount is USD 1,000,000. Starting from October 15, 2025, repayment of principal shall be waived for the first 18 months. Beginning from the 19th month, the principal shall be repaid in seven installments, with each installment period being three months. The expiration date of the grace period shall be deemed the due date of the first installment. For the first through sixth installments, 6.5% of the principal shall be repaid in each installment, and the remaining outstanding principal shall be fully repaid in the seventh installment.	5.70%	31,430	-
Hang Seng Bank Limited					
Mortgage borrowings	2021.6.1-2031.6.1	The total borrowing amount of HK$10,600,000 is repayable in 120 equal monthly installments of principal, starting from June 1, 2021. Interest is accrued and paid on a monthly basis.	2.50%	25,069	30,575
First Commercial Bank					
Bank loans	2025.6.11-2028.6.11	The total borrowing amount is US$500,000. Beginning from June 11, 2025, repayment of principal is waived for the first six months. Thereafter, the principal shall be repaid in 30 installments, with interest accrued and payable on a monthly basis.	5.55%	15,715	-
Bank loans	2025.8.13-2028.8.13	The total borrowing amount is US$600,000. Beginning from August 13, 2025, repayment of principal is waived for the first six months. Thereafter, the principal shall be repaid in 36 installments, with interest accrued and payable on a monthly basis.	5.55%	18,858	-
Less: Current portion				(17,307)	(4,777)
Long-term borrowings				$ 74,442	$ 26,937

The bank borrowings are secured by the Group's freehold land and buildings. Refer to Note 38.

21. BONDS PAYABLE

	December 31	
	2025	2024
Unsecured domestic convertible bonds	$941,301	$ -
Less: Current portion	-	-
	$941,301	$ -

First Unsecured Domestic Convertible Bonds

The Company issued its First Domestic Unsecured Convertible Bonds on October 9, 2025. The total face value of the issuance was NT$800,000 thousand, with a par value of NT$100 thousand per bond, issued at 100.5% of par value, for a total of 8 thousand bonds issued. The bonds carry a coupon rate of 0% per annum and have a term of three years, maturing on October 9, 2028.

The redemption and conversion terms are as follows:

1. The Company may, the day after three months of the issuance date until the day preceding the maturity date, redeem the bonds at par value in accordance with the terms and conditions agreed upon.

2. Bondholders may, from the day after three months of the issuance date until the maturity date, request conversion of the bonds into the Company's common shares.

3. The conversion price of the convertible bonds was determined with September 30, 2025 as the pricing reference date. The benchmark price was selected from the simple arithmetic average of the closing prices of the Company's common shares for one, three, or five business days prior to (excluding) the reference date, whichever was chosen. The conversion price was then determined by multiplying the benchmark price by a conversion premium rate of 105.21%. Pursuant to the foregoing method, the benchmark price determined based on the simple arithmetic average of the closing price of the Company's common shares for the one business day prior to the reference date was NT$201.5 per share, resulting in a conversion price of $212 per share.

4. The conversion price of the Company's First Domestic Unsecured Convertible Bonds was adjusted in accordance with the anti-dilution provisions under the conversion terms. Effective December 31, 2025, the conversion price was adjusted from $212 to $207.6.

The convertible bonds contain both liability and equity components. The equity component was presented in equity under the heading of capital surplus - options. The effective interest rate of the liability component was 2.19% per annum on initial recognition.

Proceeds from issuance (less transaction costs of $4,166 thousand)	$ 799,834
Equity component (less transaction costs allocated to the equity component of $250 thousand)	(50,310)
Call option value	240
Liability component at the date of issue (less transaction costs allocated to the liability component of $3,916 thousand)	749,764
Interest charged at an effective interest rate of 2.19%	3,385
Liability component on December 31, 2025	$ 753,149

Second Unsecured Domestic Convertible Bonds

The Company issued its Second Domestic Unsecured Convertible Bonds on October 20, 2025. The total face value of the issuance was NT$200,000 thousand, with a par value of NT$100 thousand per bond. The bonds were publicly offered through a competitive auction process and issued at 107.18% of face value, with a total issuance of 2 thousand bonds. The annual coupon rate is 0%, the term of the bonds is three years, and the maturity date is October 20, 2028.

The redemption and conversion terms are as follows:

1. The Company may, the day after three months of the issuance date until the day preceding the maturity date, redeem the bonds at par value in accordance with the terms and conditions agreed upon.

2. Bondholders may, from the day after three months of the issuance date until the maturity date, request conversion of the bonds into the Company's common shares.

3. The conversion price of the convertible bonds was determined with September 25, 2025 as the pricing reference date. The benchmark price was selected from the simple arithmetic average of the closing prices of the Company's common shares for one, three, or five business days prior to (excluding) the reference date, whichever was chosen. The conversion price was then determined by multiplying the benchmark price by a conversion premium rate of 102.44%. Pursuant to the foregoing method, the benchmark price determined based on the simple arithmetic average of the closing price of the Company's common shares for the one business day prior to the reference date was $205 per share, resulting in a conversion price of $210 per share.

4. The conversion price of the Company's Second Domestic Unsecured Convertible Bonds was adjusted in accordance with the anti-dilution provisions under the conversion terms. Effective December 31, 2025, the conversion price was adjusted from $210 to $205.6.

The convertible bonds contain both liability and equity components. The equity component was presented in equity under the heading of capital surplus - options. The effective interest rate of the liability component was 2.18% per annum on initial recognition.

Proceeds from issuance (less transaction costs of $1,071 thousand)	$ 213,283
Equity component (less transaction costs allocated to the equity component of $128 thousand)	(25,865)
Call option value	60
Liability component at the date of issue (less transaction costs allocated to the liability component of $943 thousand)	187,478
Interest charged at an effective interest rate of 2.18%	674
Liability component on December 31, 2025	$ 188,152

22. NOTES PAYABLE AND ACCOUNTS PAYABLES

	December 31	
	2025	2024
Notes payable		
Operating	$ 1,422	$ 2,160
Accounts payables		
Operating	$ 286,682	$ 261,494

a. Notes payable

As of December 31, 2025 and 2024, the Group had no notes payable to banks.

b. Accounts payables

The average credit period for accounts payables ranges from 7 to 30 days. The Group has financial risk management policies in place to ensure that all payables are paid within the pre-agreed credit terms.

23. OTHER LIABILITIES

	December 31	
	2025	2024
Current		
Other payables		
Non-related parties		
Payables for salaries or bonuses	$ 245,391	$ 251,805
Payables for business tax	33,826	26,176
Payables for service fees	6,715	5,630
Remuneration payable to employees and directors	22,000	17,000
Payables for insurance premiums	18,467	17,018
Payables for pension contributions	9,172	9,244
Payables for purchases of equipment	17,807	50,635
Payables for dividends	266,579	132,990
Others	91,951	106,048
	711,908	616,546
Related parties (Note 37)		
Others	80	120
	$ 711,988	$ 616,666
Other liabilities		
Financial liabilities	$ 33,537	$ 35,199
Advance receipts	4,497	1,281
Temporary receipts	2,158	2,878
Collections on behalf of others	12,839	14,144
	$ 53,031	$ 53,502
Non-current		
Other liabilities		
Guarantee deposits received	$ 65,905	$ 55,476

24. PROVISIONS

	December 31	
	2025	2024
Non-current		
Asset retirement obligation	$ 5,807	$ 6,698

	Asset Retirement Obligation
Balance as of January 1, 2025	$ 6,698
Additional provisions recognized	1,020
Disposals	(1,755)
Effect of foreign currency exchange differences	(156)
Balance as of December 31, 2025	$ 5,807
Balance as of January 1, 2024	$ 7,036
Additional provisions recognized	729
Disposals	(1,307)
Effect of foreign currency exchange differences	240
Balance as of December 31, 2024	$ 6,698

The Group recognizes an asset retirement obligation related to leased stores, where the lease agreement requires the restoration of the leased asset to its original condition at the start of the lease, with estimated costs to be incurred upon termination of the lease.

25. RETIREMENT BENEFIT PLANS

a. Defined contribution plan

The Group adopted a pension plan under the Labor Pension Act (LPA), which is a state-managed defined contribution plan. Under the LPA, the Group makes monthly contributions to employees' individual pension accounts at 6% of monthly salaries and wages.

The Group, including the Company, its subsidiary Bafang Yunji Restaurant Co., Ltd., and Dante Coffee & Foods Co., Ltd., recognized pension expenses under the defined contribution plan of $36,308 thousand and $38,216 thousand for the years ended December 31, 2025 and 2024, respectively.

Employees of the Group's subsidiary in Hong Kong participate in a government-managed retirement benefit plan. The subsidiary is required to contribute a specified percentage of salary costs to the plan. The Group's obligation under this government-managed plan is limited to making the required contributions. Total pension expenses recognized amounted to $15,643 thousand and $16,821 thousand for the years ended December 31, 2025 and 2024, respectively.

Bafang Yunji Restaurant Group LLC, Bafang Yunji Foods LLC, Bafang Yunji Foods Texas LLC and Bafang Yunji Restaurant Group Texas LLC have not established any retirement benefit plans. In addition, no retirement benefit plans are applicable to Ji Yuan Foods Co., Ltd., Fang Sin International Trading Co., Ltd., Bafang Yunji (Samoa) International Co., Ltd., Bafang Yunji International (USA) Limited, Bafang Yunji Franchise (USA) Co., Bafang Yunji Texas Corporation, and Bafang Co., Ltd., as there have been no full-time employees.

b. Defined benefit plan

The defined benefit plans adopted by the Company in accordance with the Labor Standards Act is operated by the government of the ROC. Pension benefits are calculated on the basis of the length of service and average monthly salaries of the 6 months before retirement. The Company contribute amounts equal to 4% of total monthly salaries and wages to a pension fund administered by the pension fund monitoring committee. Pension contributions are deposited in the Bank of Taiwan in the committee's name. Before the end of each year, the Group assesses the balance in the pension fund. If the amount of the balance in the pension fund is inadequate to pay retirement benefits for employees who conform to retirement requirements in the next year, the Group is required to fund the difference in one appropriation that should be made before the end of March of the next year. The pension fund is managed by the Bureau of Labor Funds, Ministry of Labor (the "Bureau"); the Group has no right to influence the investment policy and strategy.

The amounts included in the consolidated balance sheets in respect of the Group's defined benefit plans are as follows:

	December 31	
	2025	2024
Present value of defined benefit obligations	$ 12,577	$ 11,400
Fair value of plan assets	(12,235)	(11,053)
Net defined benefit liabilities	$ 342	$ 347

Movements in net defined benefit liabilities were as follows:

	Present Value of Defined Benefit Obligation	Fair Value of the Plan Assets	Net Defined Benefit Liabilities
Balance at January 1, 2024	$ 12,618	$ (9,983)	$ 2,635
Service costs			
Net interest expense (income)	-	(141)	(141)
Current service cost	173	-	173
Recognized in profit or loss	173	(141)	32
Remeasurement			
Actuarial gain (loss) - changes in demographic assumptions	-	-	-
Return on plan assets (excluding amounts included in net interest)	-	(850)	(850)
Actuarial gain - changes in financial assumptions	(750)	-	(750)
Actuarial gain - experience adjustments	(198)	-	(198)
Recognized in other comprehensive income	(948)	(850)	(1,798)
Contribution from the employer	-	(522)	(522)
Benefits paid	(443)	443	-
Balance at December 31, 2024	$ 11,400	$ (11,053)	$ 347

(Continued)

	Present Value of Defined Benefit Obligation	Fair Value of the Plan Assets	Net Defined Benefit Liabilities
Balance at January 1, 2025	$ 11,400	$ (11,053)	$ 347
Service costs			
Current service cost	148	-	148
Past service cost	275	-	275
Net interest expense (income)	185	(184)	1
Recognized in profit or loss	608	(184)	424
Remeasurement			
Actuarial gain (loss) - changes in demographic assumptions	-	-	-
Return on plan assets (excluding amounts included in net interest)	-	(766)	(766)
Actuarial gain - changes in financial assumptions	202	-	202
Actuarial gain - experience adjustments	367	-	367
Recognized in other comprehensive income	569	(766)	(197)
Contribution from the employer	-	(232)	(232)
Benefits paid	-	-	-
Balance at December 31, 2025	$ 12,577	$ (12,235)	$ 342

(Concluded)

An analysis by function of the amounts recognized in profit or loss in respect of the defined benefit plans is as follows:

	For the years ended December 31	
	2025	2024
Operating expenses	$ 424	$ 32

Through the defined benefit plans under the Labor Standards Act, the Group is exposed to the following risks:

1) Investment risk: The plan assets are invested in domestic and foreign equity and debt securities, bank deposits, etc. The investment is conducted at the discretion of the Bureau or under the mandated management. However, in accordance with relevant regulations, the return generated by plan assets shall not be below the interest rate for a 2-year time deposit with local banks.

2) Interest risk: A decrease in the government bond interest rate will increase the present value of the defined benefit obligation; however, this will be partially offset by an increase in the return on the plans' debt investments.

3) Salary risk: The present value of the defined benefit obligation is calculated using the future salaries of plan participants. As such, an increase in the salaries of the plan participants will increase the present value of the defined benefit obligation.

The actuarial valuations of the present value of the defined benefit obligation were carried out by qualified actuaries. The significant assumptions used for the purposes of the actuarial valuations are as follows:

	December 31	
	2025	2024
Discount rate	1.5%	1.625%
Expected rate of salary increase	2.75%	2.75%

If possible reasonable changes in each of the significant actuarial assumptions occur and all other assumptions remain constant, the present value of the defined benefit obligation would increase (decrease) as follows:

	December 31	
	2025	2024
Discount rate		
0.25% increase	$ (399)	$ (354)
0.25% decrease	$ 417	$ 372
Expected rate of salary increase		
0.25% increase	$ 405	$ 361
0.25% decrease	$ (389)	$ (346)

The above sensitivity analysis may not be representative of the actual changes in the present value of the defined benefit obligation as it is unlikely that changes in assumptions will occur in isolation of one another as some of the assumptions may be correlated.

	December 31	
	2025	2024
Expected contributions to the plans for the next year	$ 43	$ 525
Average duration of the defined benefit obligation	15.6 years	14.2 years

26. EQUITY

a. Share capital

Ordinary shares

	December 31	
	2025	2024
Shares authorized (in thousands of shares)	100,000	100,000
Shares authorized	$ 1,000,000	$ 1,000,000
Shares issued and fully paid (in thousands of shares)	66,645	66,645
Shares issued and fully paid	$ 666,448	$ 666,448

Each issued ordinary share has a par value of $10 and entitles the holder to one vote and the right to receive dividends.

Changes in share capital for the year ended December 31, 2024 primarily resulted from the exercise of employee share options. A total of 150 thousand new ordinary shares were issued, increasing share capital by $1,500 thousand. The related capital increases were duly registered with the competent authority on November 27, 2024. Refer to Note 31 for details of employee share option exercises during the period.

b. Capital surplus

	December 31	
	2025	2024
May be used to offset a deficit, distributed as cash dividends, or transferred to share capital (1)		
Issuance of ordinary shares	$ 977,557	$ 977,557
The difference between the consideration paid and the carrying amount of the subsidiaries' net assets during actual acquisition	56	56
Employee share-based payment compensation costs	22,735	22,735
Forfeited employee share options	132	132
	1,000,480	1,000,480
May only be used to offset a deficit (2)		
Gains from the exercise of disgorgement rights by the Company	99	99
May not be used for any purpose		
Conversion options of convertible corporate bonds	76,175	-
	$ 1,076,754	$ 1,000,579

1) Such capital surplus may be used to offset a deficit; in addition, when the Company has no deficit, such capital surplus may be distributed as cash dividends or transferred to share capital (limited to a certain percentage of the Company's capital surplus and to once a year).

2) Such capital surplus represents the amount transferred from the gains obtained by the Company from the exercise of subscription rights and may only be used to offset a deficit.

c. Retained earnings and dividends policy

Under the dividends policy as set forth in the Company's Articles of Incorporation (the "Articles"), the proposal for profit distribution or offsetting of losses should be made at the end of each six months of the fiscal year. Cash dividends shall be resolved by the board of directors, while stock dividends shall require approval by the shareholders' meeting.

Under the dividends policy as set forth in the Articles, where the Company made a profit each six months of the fiscal year, the profit shall be first utilized for paying taxes, offsetting losses of previous years, setting aside as legal reserve 10% of the remaining profit, and setting aside or reversing a special reserve. However, once the legal reserve has accumulated to the amount of the Company's paid-in capital, no further allocation is required. Any remaining profit together with any undistributed retained earnings each six months of the fiscal year shall be used by the Company's board of directors as the basis for proposing a distribution plan, which should be resolved in the shareholders' meeting for the distribution of dividends and bonuses to shareholders. Under the dividends policy as set forth in the Articles, the Company's board of directors is authorized, with the attendance of at least two-thirds of all directors and the approval of a majority of the directors present, to distribute dividends and bonuses, or all or part of the legal reserve and capital surplus as prescribed under Article 241, Paragraph 1 of the

Company Act, in the form of cash. Such distribution shall be reported to the shareholders' meeting. However, if the distribution is to be made in the form of new shares, it shall be subject to a resolution adopted at the shareholders' meeting.

The remuneration distribution policy for employees and directors as stipulated in the Company's Articles of Incorporation is disclosed in Note 28(g), compensation of employees and remuneration of directors.

As the Company is in a growth stage, its dividend policy takes into consideration the stage of business development, profitability, the Company's medium- and long-term financial and capital planning, as well as the interests of shareholders. Dividends may be distributed in the form of cash or stock, as deemed appropriate. Each year, no less than 20% of distributable earnings shall be allocated for shareholder dividends, of which the cash portion shall not be less than 20% of the total dividends distributed.

An appropriation of earnings to a legal reserve shall be made until the legal reserve equals the Company's paid-in capital. The legal reserve may be used to offset deficits. If the Company has no deficit and the legal reserve has exceeded 25% of the Company's paid-in capital, the excess may be transferred to capital or distributed in cash.

In accordance with applicable laws and regulations, when distributing earnings, the Company is required to appropriate a special reserve from retained earnings for the net deductions under other equity items. If the amount of such deductions decreases in subsequent periods, the corresponding portion of the special reserve may be reversed and transferred back to unappropriated earnings. When a special reserve is appropriated for cumulative net debit balance reserves from prior period, the special reserve is only appropriated from the prior unappropriated earnings.

The appropriation of the quarterly earnings in 2025 and 2024, which were resolved by the Company's board of directors, were as follows:

	January 1 to June 30, 2025	July 1 to December 31, 2024	January 1 to June 30, 2024
Date of board resolution	August 12, 2025	March 13, 2025	August 7, 2024
Legal reserve	$ 38,754	$ 30,695	$ 29,599
Appropriation (reversal) of special reserve	$ 62,002	$ -	$ (1,619)
Cash dividends	$ 266,579	$ 400,168	$ 132,990
Cash dividends per share (NT$)	$ 4.00	$ 6.00	$ 2.00

The appropriation of earnings for the second half of 2025, which were proposed by the Company's board of directors on March 10, 2026, were as follows:

	July 1 to December 31, 2025
Legal reserve	$ 46,856
Rreversal of special reserve	$ (62,002)
Cash dividends	$ 499,836
Stock dividends	$ 33,322
Cash dividends per share (NT$)	$ 7.50
Stock dividends per share (NT$)	$ 0.50

The above appropriation for cash dividends has been resolved by the Company's board of directors; the other proposed appropriations will be resolved by the shareholders in their meeting to be held on June 11, 2026.

d. Special reserve

	For the years ended December 31	
	2025	2024
Balance at January 1	$ 1,619	$ 4,247
Reversals:		
Reversal of the debits to other equity items	(1,619)	(2,628)
Balance at December 31	$ -	$ 1,619

e. Other equity items

Exchange differences on the translation of the financial statements of foreign operations

	For the years ended December 31	
	2025	2024
Balance at January 1	$ 47,148	$ (1,619)
Exchange differences on the translation of the financial statements of foreign operations	(49,275)	60,958
Income tax related to translation of the financial statements of foreign operations	9,854	(12,191)
Balance at December 31	$ 7,727	$ 47,148

f. Non-controlling interests

	For the years ended December 31	
	2025	2024
Balance at January 1	$ 242,444	$ 66,897
Share in loss for the year	(29,333)	(10,918)
Other comprehensive income during the year		
Exchange differences on translating the financial statements of foreign entities	(10,837)	7,430
Acquisition of non-controlling interests in subsidiaries (Note 33)	-	(56)
Changes in ownership interests in subsidiaries	-	518
Non-controlling interests arising from cash capital increase by subsidiaries	151,446	178,573
Balance at December 31	$ 353,720	$ 242,444

27. REVENUE

	For the years ended December 31	
	2025	2024
Revenue from contracts with customers		
Revenue from the sale of goods	$ 8,767,988	$ 8,007,002
Licensing revenue	23,130	20,983
	$ 8,791,118	$ 8,027,985

a. Contract information

1) Revenue from the sale of goods

The revenue from sale of goods is derived from the manufacturing and sale of products related to restaurant chains and the sale of food ingredients used by franchisees to manufacture and sell related products. The Group recognizes revenue and accounts receivable at the point when the products are manufactured, sold and the food ingredients delivered to the franchisee's designated location, as the customer has the right to set the price and use the merchandise and has the primary responsibility for the merchandise at the time of resale, and bears the risk of obsolescence of the merchandise. Revenue from merchandise sales is based on contract agreements with fixed prices.

2) Licensing revenue

Licensing revenue represents franchise fees received by the Group from franchisees for the right to access the Group's intellectual property during the license term.

b. Contract balances

	December 31, 2025	December 31, 2024	January 1, 2024
Notes receivable and accounts receivables (Note 11)	$ 178,639	$ 178,107	$ 161,253

c. Disaggregation of revenue

	For the year ended December 31, 2025			
	Taiwan	Hong Kong	United States	Total
Revenue from the sale of goods	$ 6,811,621	$ 1,301,279	$ 655,088	$ 8,767,988
Licensing revenue	23,130	-	-	23,130
	$ 6,834,751	$ 1,301,279	$ 655,088	$ 8,791,118

	For the year ended December 31, 2024			
	Taiwan	Hong Kong	United States	Total
Revenue from the sale of goods	$ 6,048,539	$ 1,403,920	$ 554,543	$ 8,007,002
Licensing revenue	20,983	-	-	20,983
	$ 6,069,522	$ 1,403,920	$ 554,543	$ 8,027,985

28. NET PROFIT FROM CONTINUING OPERATIONS

a. Interest income

	For the years ended December 31	
	2025	2024
Bank deposits	$ 12,595	$ 14,318
Lease interest receivable	1,281	1,339
	$ 13,876	$ 15,657

b. Other income

	For the years ended December 31	
	2025	2024
Rental income	$ 5,951	$ 10,227
Government grants (Note 32)	174	8,328
Dividends (Note 10)	-	32
Others	38,894	36,349
	$ 45,019	$ 54,936

c. Other gains and losses

	For the years ended December 31	
	2025	2024
Loss on disposal of property, plant and equipment	$ (29,712)	$ (9,601)
Gain on financial assets at fair value through profit or loss	205	2,182
Net foreign exchange gains	1,171	14,856
Gain on lease modification	2,038	1,135
Other losses	(1,567)	(2,574)
	$ (27,865)	$ 5,998

d. Financial costs

	For the years ended December 31	
	2025	2024
Interest on bank loans	$ 15,892	$ 6,455
Interest on convertible corporate bonds	4,059	-
Interest on lease liabilities	41,075	35,064
	$ 61,026	$ 41,519

The Group did not capitalize any interest for the years ended December 31, 2025 and 2024.

e. Depreciation and amortization

	For the years ended December 31	
	2025	2024
An analysis of depreciation by function		
Operating costs	$ 430,405	$ 418,874
Operating expenses	332,171	338,162
	$ 762,576	$ 757,036
An analysis of amortization by function		
Operating costs	$ 29	$ 28
Selling expenses	273	485
Administrative expenses	5,462	5,029
	$ 5,764	$ 5,542

f. Employee benefits expense

	For the years ended December 31	
	2025	2024
Short-term benefits	$ 1,705,465	$ 1,693,927
Post-employment benefits		
Defined contribution plan	51,951	55,037
Defined benefit plans (Note 25)	424	32
Share-based payments		
Equity-settled (Note 31)	-	1,725
Total employee benefits expense	$ 1,757,840	$ 1,750,721
An analysis of employee benefits expense by function		
Operating costs	$ 794,438	$ 787,401
Operating expenses	963,402	963,320
	$ 1,757,840	$ 1,750,721

g. Compensation of employees and remuneration of directors

According to the Company's Articles, the Company accrues compensation of employees and remuneration of directors at rates of no less than 1% and no higher than 1%, respectively, of net profit before income tax, compensation of employees, and remuneration of directors. In accordance with the amendments to the Securities and Exchange Act in August 2024, the shareholders of the Company resolved the amendments to the Company's Articles at their 2025 regular meeting. The amendments explicitly stipulate the allocation of no less than 40% of the compensation of employees as compensation distributions for non-executive employees. The compensation of employees (including non-executive employees) and the remuneration of directors for the years ended December 31, 2025 and 2024, which were approved by the Company's board of directors on March 10, 2026 and March 13, 2025, respectively, were as follows:

Accrual rate

	For the years ended December 31	
	2025	2024
Compensation of employees	1.47%	1.50%
Remuneration of directors	0.55%	0.70%

Amount

	For the years ended December 31	
	2025	2024
	Cash	Cash
Compensation of employees	$ 16,000	$ 11,600
Remuneration of directors	6,000	5,400

If there is a change in the amounts after the annual consolidated financial statements are authorized for issue, the differences are recorded as a change in the accounting estimate.

There is no difference between the actual amounts of compensation of employees and remuneration of directors and supervisors paid and the amounts recognized in the consolidated financial statements for the years ended December 31, 2024 and 2023.

Information on the compensation of employees and remuneration of directors and supervisors resolved by the Company's board of directors is available at the Market Observation Post System website of the Taiwan Stock Exchange.

29. INCOME TAX RELATING TO CONTINUING OPERATIONS

a. Income tax recognized in profit or loss

Major components of income tax expense are as follows:

	For the years ended December 31	
	2025	2024
Current tax		
In respect of the current year	$ 234,774	$ 161,272
Income tax on unappropriated earnings	555	1,733
Adjustments for prior year	(4,928)	(465)
	230,401	162,540
Deferred tax		
In respect of the current year	(8,888)	2,970
Income tax expense recognized in profit or loss	$ 221,513	$ 165,510

A reconciliation of accounting profit and income tax expense is as follows:

	For the years ended December 31	
	2025	2024
Profit before tax from continuing operations	$1,048,116	$ 756,608

(Continued)

Income tax expense calculated based on the pre-tax income at the applicable tax rate in relevant countries	$ 198,888	$ 152,128
Income tax effects of adjusting items		
Items to be adjusted in determining taxable income	6,994	3,041
Income tax on unappropriated earnings	555	1,733
Unrecognized loss carryforwards and deductible temporary differences	20,004	9,073
Adjustments for prior years' tax	(4,928)	(465)
Income tax expense recognized in profit or loss	$ 221,513	$ 165,510

(Concluded)

b. Income tax recognized in other comprehensive income

	For the years ended December 31	
	2025	2024
Deferred tax		
In respect of the current year		
Remeasurement of defined benefit plans	$ (39)	$ (360)
Translation of foreign operations	9,854	(12,191)
Total income tax recognized in other comprehensive income	$ 9,815	$ (12,551)

c. Current tax assets and liabilities

	December 31	
	2025	2024
Current tax assets		
Tax refund receivable	$ 3,812	$ 8,344
Current tax liabilities		
Income tax payable	$ 152,970	$ 92,217

d. Deferred tax assets and liabilities

The movements of deferred tax assets and deferred tax liabilities were as follows:

For the year ended December 31, 2025

	Opening Balance	Recognized in Profit or Loss	Recognized in Other Comprehensive Income	Closing Balance
Deferred tax assets				
Temporary differences				
Unrealized inventory write-downs	$ 1,714	$ 1,212	$ -	$ 2,926
Allowance for doubtful accounts	22	-	-	22

(Continued)

	Opening Balance	Recognized in Profit or Loss	Recognized in Other Comprehensive Income	Closing Balance
Exchange differences on translating the financial statements of foreign operations	-	-	-	-
Unrealized exchange losses	-	-	-	-
Defined benefit obligations	640	-	(39)	601
Others	3,401	1,028	-	4,429
	$ 5,777	$ 2,240	$ (39)	$ 7,978
Deferred tax liabilities				
Temporary differences				
Undistributed earnings of subsidiaries	$ (12,555)	$ 6,708	$ -	$ (5,847)
Differences in contributions to defined contribution plans	(818)	-	-	(818)
Exchange differences on translating the financial statements of foreign operations	(11,748)	-	9,854	(1,894)
Unrealized exchange gains	(49)	(115)	-	(164)
Others	(289)	55	-	(234)
	$ (25,459)	$ 6,648	$ 9,854	$ (8,957)

(Concluded)

For the year ended December 31, 2024

	Opening Balance	Recognized in Profit or Loss	Recognized in Other Comprehensive Income	Closing Balance
Deferred tax assets				
Temporary differences				
Unrealized inventory write-downs	$ 1,714	$ -	$ -	$ 1,714
Allowance for doubtful accounts	22	-	-	22
Exchange differences on translating the financial statements of foreign operations	443	-	(443)	-
Unrealized exchange losses	92	(92)	-	-
Defined benefit obligations	1,000	-	(360)	640
Others	2,952	449	-	3,401
	$ 6,223	$ 357	$ (803)	$ 5,777

	Opening Balance	Recognized in Profit or Loss	Recognized in Other Compre-hensive Income	Closing Balance
Deferred tax liabilities				
Temporary differences				
Undistributed earnings of subsidiaries	$ (8,958)	$ (3,597)	$ -	$ (12,555)
Differences in contributions to defined contribution plans	(720)	(98)	-	(818)
Exchange differences on translating the financial statements of foreign operations	-	-	(11,748)	(11,748)
Unrealized exchange gains	(295)	246	-	(49)
Others	(411)	122	-	(289)
	$ (10,384)	$ (3,327)	$ (11,748)	$ (25,459)

e. Income tax assessments

The income tax returns of the Company and its subsidiaries, Bafang Yunji Restaurant Co., Ltd., Fang Sin International Trading Co., Ltd., and Dante Coffee & Foods Co., Ltd., through 2023, have been assessed by the tax authorities.

30. EARNINGS PER SHARE

Unit: NT$ Per Share

	For the years ended December 31	
	2025	2024
Basic earnings per share	$ 12.84	$ 9.05
Diluted earnings per share	$ 12.67	$ 9.02

The earnings and weighted average number of ordinary shares outstanding used in the computation of earnings per share were as follows:

Net profit for the year

	For the years ended December 31	
	2025	2024
Profit for the year attributable to owners of the Company	$ 855,936	$ 602,016
Effect of potentially dilutive ordinary shares		
Interest on convertible bonds (after tax)	3,247	-
Earnings used in the computation of diluted earnings per share	$ 859,183	$ 602,016

Number of Shares

	Unit: In Thousands of Shares For the years ended December 31	
	2025	2024
Weighted average number of ordinary shares used in the computation of basic earnings per share	66,645	66,542
Effect of potentially dilutive ordinary shares		
Compensation of employees	97	90
Employee share options	-	84
Convertible bonds	1,078	-
Weighted average number of ordinary shares used in the computation of diluted earnings per share	67,820	66,716

The Group may settle the compensation of employees in cash or shares; therefore, the Group assumes that the entire amount of the compensation will be settled in shares, and the resulting potential shares are included in the weighted average number of shares outstanding used in the computation of diluted earnings per share, as the effect is dilutive. Such dilutive effect of the potential shares is included in the computation of diluted earnings per share until the number of shares to be distributed to employees is resolved in the following year.

31. SHARE-BASED PAYMENT AGREEMENTS

Employee share option plan of the Company

Information on employee share options was as follows:

	For the years ended December 31			
	2025		2024	
Employee Share Option	Number of Options (In Thousands of Units)	Weighted-average Exercise Price ($)	Number of Options (In Thousands of Units)	Weighted-average Exercise Price ($)
Balance at January 1	-	$ -	150	$ 25.9
Options exercised	-	-	(150)	25.1
Balance at December 31	-	-	-	-
Options exercisable, end of the year	-	-	-	-

Options granted in September 2020 are priced using the Black-Scholes pricing model, and the inputs to the model are as follows:

	September 2020
Grant-date share price	NT$124.2
Exercise price	NT$30
Expected volatility	19.74-20.76%
Expected life (in years)	3.5/4/4.5 years
Expected dividend yield	5.14%
Risk-free interest rate	0.24%/0.27%/0.29%

Compensation costs recognized were $1,725 thousand for the year ended December 31, 2024.

32. GOVERNMENT GRANTS

The Group received government grants for trading in old cars for new ones and incentives for scrapping official vehicles, and recognized $174 thousand in non-operating income and expenses - other income in the consolidated statement of comprehensive income in 2025.

The Group received government grants from the National Animal Industry Foundation and Workforce Development Agency, and recognized $8,328 thousand in non-operating income and expenses - other income in the consolidated statement of comprehensive income in 2024.

33. EQUITY TRANSACTIONS WITH NON-CONTROLLING INTERESTS

a. The Group acquired the interest of Ji Yuan Foods Co., Ltd., thereby increasing the ownership from 85% to 100% on December 31, 2024.

The above transactions were accounted for as equity transactions, since the Group did not cease to have control over these subsidiaries.

	Ji Yuan Foods Co., Ltd.
Consideration paid	$ (37,500)
The proportionate share of the carrying amount of the net assets of the subsidiary transferred to (from) non-controlling interests	37,556
Differences recognized from equity transactions	$ 56
Line items adjusted for equity transactions	
Capital surplus - difference between consideration received or paid and the carrying amount of the subsidiaries' net assets during actual disposal or acquisition	$ 56

34. NON-CASH TRANSACTIONS

a. Non-cash transactions

In addition to those disclosed in other notes, the Group entered into the following non-cash investing activities which were not reflected in the consolidated statements of cash flows for the years ended December 31, 2025 and 2024:

1) Acquisition of property, plant and equipment

	For the years ended December 31	
	2025	2024
Additions to property, plant and equipment	$ 720,192	$ 758,413
Add: Equipment payables at the beginning of the period	50,635	10,549
Decrease in asset retirement obligations	1,755	1,307
Less: Equipment payables at the end of the period	(17,807)	(50,635)
Increase in asset retirement obligations	(1,020)	(729)
Cash paid	$ 753,755	$ 718,905

(Continued)

	For the years ended December 31	
Disposal of property, plant and equipment		
Proceeds from disposal	$ 66,816	$ 62,199
Add: Disposal receivables at the beginning of the period	767	400
Less: Disposal receivables at the end of the period	(72)	(767)
Cash received	$ 67,511	$ 61,832

(Concluded)

2) Cash dividends

The cash dividends resolved by the Board of Directors were not yet distributed as of December 31, 2025 and 2024 (refer to Notes 23 and 26).

3) Prepayments for equipment

The Group reclassified prepayments for equipment to property, plant and equipment of $103,738 thousand and $40,730 thousand for the years ended December 31, 2025 and 2024, respectively.

b. Changes in liabilities arising from financing activities

For the year ended December 31, 2025

			Non-cash changes				
	Opening Balance	Cash Flows	New/ Amended Leases	Translation Adjustments	Interest Expense	Others (Note)	Closing Balance
Short-term borrowings	$ 181,963	$ (68,820)	$ -	$ (3,138)	$ -	$ -	$ 110,005
Long-term borrowings	31,714	60,932	-	(897)	-	-	91,749
Bonds payable	-	1,013,117	-	-	4,059	(75,875)	941,301
Lease liabilities	1,579,676	(539,149)	597,442	(36,029)	41,075	-	1,643,015
Guarantee deposits received	55,476	10,429	-	-	-	-	65,905
	$ 1,848,829	$ 476,509	$ 597,442	$ (40,064)	$ 45,134	$ (75,875)	$ 2,851,975

Note: recognition of equity components and derivative instruments of convertible bonds

For the year ended December 31, 2024

			Non-cash changes				
	Opening Balance	Cash Flows	New/ Amended Leases	Translation Adjustments	Interest Expense	Others	Closing Balance
Short-term borrowings	$ 302,000	$ (120,037)	$ -	$ -	$ -	$ -	$ 181,963
Long-term borrowings	33,773	(4,454)	-	2,395	-	-	31,714
Lease liabilities	1,433,882	(554,740)	617,582	47,888	35,064	-	1,579,676
Guarantee deposits received	53,461	2,015	-	-	-	-	55,476
	$ 1,823,116	$ (677,216)	$ 617,582	$ 50,283	$ 35,064	$ -	$ 1,848,829

35. CAPITAL MANAGEMENT

The Group manages its capital to ensure that entities in the Group will be able to continue as going concerns while maximizing the return to stakeholders through the optimization of the debt and equity

balance.

The capital structure of the Group consists of net debt (borrowings offset by cash and cash equivalents) and equity of the Group (comprising issued capital, reserves, retained earnings, other equity and non-controlling interests).

The Group is not subject to any externally imposed capital requirements.

The Group's capital structure is reviewed annually by the Group's key management, which includes consideration of the cost of each type of capital and the related risks. The Group will balance its overall capital structure by paying dividends, issuing new shares, buying back shares and issuing new debt or paying off old debt, as recommended by key management.

36. FINANCIAL INSTRUMENTS

a. Fair value of financial instruments not measured at fair value

Except for the table below, the Group considers that the carrying amount of financial assets and liabilities that are not at fair value is close to the fair value, or the fair value cannot be reliably measured.

December 31, 2025

	Carrying Amount	Fair Value			
		Level 1	Level 2	Level 3	Total
Financial liabilities					
Financial liabilities at amortized cost					
Bonds payable	$ 941,301	$ 1,100,400	$ -	$ -	$ 1,100,400

b. Fair value of financial instruments measured at fair value on a recurring basis

1) Fair value hierarchy

December 31, 2025

	Level 1	Level 2	Level 3	Total
Financial assets at FVTPL				
Structured deposits	$ -	$ 120,017	$ -	$ 120,017
Call options of convertible corporate bonds	-	-	400	400
	$ -	$ 120,017	$ 400	$ 120,417
Financial assets at FVTOCI				
Investments in equity instruments				
Unlisted shares	$ -	$ -	$ 3,750	$ 3,750

(Continued)

December 31, 2024

	Level 1	Level 2	Level 3	Total
Financial assets at FVTPL				
Mutual fund beneficiary certificates	$ 120,125	$ -	$ -	$ 120,125
Structured deposits	-	130,265	-	130,265
	$ 120,125	$ 130,265	$ -	$ 250,390

	Level 1	Level 2	Level 3	Total
Financial assets at FVTOCI				
Investments in equity instruments				
Unlisted shares	$ -	$ -	$ 3,750	$ 3,750

(Concluded)

There were no transfers between Levels 1 and 2 in the current and prior years.

2) Reconciliation of Level 3 fair value measurements of financial instruments

For the year ended December 31, 2025

	Financial Assets at FVTPL			Financial Assets at FVTOCI		
Financial Assets	**Derivatives**	**Equity Instruments**	**Debt Instruments**	**Equity Instruments**	**Debt Instruments**	**Total**
Balance on January 1, 2025	$ -	$ -	$ -	$ 3,750	$ -	$ 3,750
Recognized in profit or loss (included in other gains and losses)	100	-	-	-	-	100
Insurance of convertible corporate bonds	300	-	-	-	-	300
Balance on December 31, 2025	$ 400	$ -	$ -	$ 3,750	$ -	$ 4,510
Unrealized gain/(loss) for the current year included in profit or loss relating to assets held at the end of the year	$ 100	$ -	$ -	$ -	$ -	$ 100

For the year ended December 31, 2024

	Financial Assets at FVTOCI
	Equity Instruments
Balance at January 1, 2024	$ 3,750
Balance at December 31, 2024	$ 3,750
Unrealized gain and loss for the current year	$ -

3) Valuation techniques and inputs applied for Level 2 fair value measurement

Financial instrument	Valuation technique and inputs
Structured deposits mandatorily measured at fair value through profit or loss	The fair value is determined based on the present value of future cash flows, using a discount rate curve derived from quoted prices in the active market.

4) Valuation techniques and inputs applied for Level 3 fair value measurement

a. The fair value of unlisted equity instruments is estimated based on an analysis of the investee's financial position and operating results, recent transaction prices, quoted prices of similar instruments in active markets, and valuation multiples of comparable companies. These estimates are not based on observable market prices or interest rates. Significant unobservable inputs include the liquidity discount. A decrease in the liquidity discount would result in an increase in the fair value of the investment.

b. Convertible bonds with embedded derivatives - call options are valued using a binomial tree convertible bond valuation model, with significant unobservable inputs including stock price volatility, risk discount rate, and liquidity risk parameters.

c. Categories of financial instruments

	December 31	
	2025	2024
Financial assets		
Financial assets at amortized cost (Note 1)	$ 2,422,023	$ 1,443,606
FVTPL Mandatorily classified as at FVTPL	120,417	250,390
Financial assets at FVTOCI	3,750	3,750
Financial liabilities		
Amortized cost (Note 2)	2,242,589	1,184,672

Note 1: The balances include financial assets at amortized cost, which comprise cash and cash equivalents, accounts receivables, financial assets at amortized cost - current, other receivables, other financial assets - current, and refundable deposits.

Note 2: The balances include financial liabilities at amortized cost, which comprise short-term loans, notes payable, accounts payable, other payables, other financial liabilities - current, bonds payable, long-term loans and guarantee deposits received.

d. Financial risk management objectives and policies

The Group's major financial instruments include equity investments, accounts receivables and accounts payables. The Group's corporate treasury function provides services to the business, coordinates access to domestic and international financial markets, and monitors and manages the financial risks relating to the operations of the Group through internal risk reports that analyze exposures by degree and magnitude of risks. These risks include market risk (including foreign currency risk, interest rate risk and other price risk), credit risk and liquidity risk.

The Group's finance department assesses various financial risks through the annual budgeting process and develops financial planning strategies in advance to effectively manage those risks. In addition, financial risks are regularly evaluated and reviewed to ensure timely adjustments to the corresponding risk management measures. When significant risks are identified, the issues and corresponding response plans are reported to management through executive meetings.

1) Market risk

The Group's activities exposed it primarily to the financial risks of changes in foreign currency exchange rates (see a. below) and interest rates (see b. below).

a) Foreign currency risk

The carrying amounts of the Group's foreign currency denominated monetary assets and monetary liabilities at the end of the year are set out in Note 41.

Sensitivity analysis

The Group is mainly exposed to the USD.

The following table details the Group's sensitivity to a 1% increase and decrease in the New Taiwan dollar (i.e., the functional currency) against the relevant foreign currencies. The sensitivity rate used when reporting foreign currency risk internally to key management personnel and representing management's assessment of the reasonably possible change in foreign exchange rates is 1%. The amounts disclosed below represent the estimated increase (decrease) in pre-tax profit resulting from a 1% weakening (strengthening) of the New Taiwan dollar against each relevant currency.

	USD Impact	
	For the years ended December 31	
	2025	2024
Profit or loss	$ 514	$ 271

b) Interest rate risk

The Group is exposed to interest rate risk because entities in the Group borrow funds at both fixed and floating interest rates and hold bank deposits. However, because interest rate fluctuations are minimal, the impact of market interest rate changes on the Group's revenue, operating cash flow, and operations is limited.

The carrying amounts of the Group's financial assets and financial liabilities with exposure to interest rates at the end of the year were as follows:

	December 31	
	2025	2024
Fair value interest rate risk		
Financial assets	$1,105,682	$ 381,874
Financial liabilities	941,301	-
Cash flow interest rate risk		
Financial assets	1,071,875	820,955
Financial liabilities	201,754	213,677

Sensitivity analysis

The sensitivity analysis below was determined based on the Group's exposure to interest rates for both derivative and non-derivative instruments at the end of the year. For floating rate assets and liabilities, the analysis was prepared assuming the amount of each liability outstanding at the end of the year was outstanding for the whole year. The rate of change used in reporting interest rates internally to key management of the Group is an increase or decrease in interest rates by 1%, which represents management's assessment of the range of reasonably possible changes in interest rates.

If interest rates had increased or decreased by 1%, with all other variables were held constant, the Group's pre-tax profit for the years ended December 31, 2025 and 2024 would have increased/decreased by $8,701 thousand and $6,073 thousand, respectively, which was mainly a result of increasing of variable-rate borrowings.

c) Other price risk

The Group was exposed to equity price risk through its investments in equity instruments. The management of the Group manages risks by holding a diversified portfolio of investments with different risk profiles. In addition, the Group has appointed a special team to monitor the price risk and will consider hedging the risk exposure should the need arise.

Sensitivity analysis

The sensitivity analysis below was determined based on the exposure to equity price risks at the end of the year.

If equity prices had been 3% higher/lower, pre-tax profit for the years ended December 31, 2025 and 2024 would have increased/decreased by $0 thousand and $3,604 thousand, respectively, as a result of the changes in fair value of financial assets at FVTPL.

If equity prices had been 3% higher/lower, pre-tax other comprehensive income for the years ended December 31, 2025 and 2024 would have both increased/decreased by $113 thousand, as a result of the changes in fair value of financial assets at FVTOCI.

The Group's sensitivity to equity prices increased primarily due to the increase in financial assets from equity instrument investments.

2) Credit risk

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in a financial loss to the Group. At the end of the year, the Group's maximum exposure to credit risk, which would cause a financial loss to the Group due to the failure of the counterparty to discharge its obligation and due to the financial guarantees provided by the Group, could be equal to the carrying amount of the respective recognized financial assets as stated in the balance sheets.

The Group's policy is to engage in transactions only with counterparties that have strong credit ratings. When necessary, the Group obtains sufficient collateral to mitigate the risk of financial loss resulting from default. The Group continuously monitors its credit exposure and the

creditworthiness of counterparties. Credit risk is managed through the establishment of counterparty credit limits, which are reviewed and approved annually by personnel designated by management. At each balance sheet date, the recoverability of accounts receivables is assessed on an individual basis to ensure that adequate impairment losses are recognized for receivables that are deemed uncollectible. The Group transacts with a large number of unrelated customers and thus, credit risk is not highly concentrated.

3) Liquidity risk

The Group manages liquidity risk by monitoring and maintaining a level of cash and cash equivalents deemed adequate to finance the Group's operations and mitigate the effects of fluctuations in cash flows. In addition, management monitors the utilization of bank borrowings and ensures compliance with loan covenants.

Ultimate responsibility for liquidity risk management rests with the board of directors, which has built an appropriate liquidity risk management framework for the Group's short-, medium- and long-term funding and liquidity management requirements.

The Group relies on bank borrowings as a significant source of liquidity. As of December 31, 2025 and 2024, the Group had available unutilized short-term bank loan facilities set out in (b) Financing facilities below.

a) Liquidity and interest rate risk tables for non-derivative financial liabilities

The following table details the Group's remaining contractual maturities for its non-derivative financial liabilities with agreed upon repayment periods. The table has been drawn up based on the undiscounted cash flows of financial liabilities from the earliest date on which the Group can be required to pay. The table includes both interest and principal cash flows. Specifically, bank loans with a repayment on demand clause were included in the earliest time band regardless of the probability of the banks choosing to exercise their rights. The maturity dates for other non-derivative financial liabilities were based on the agreed upon repayment dates.

The undiscounted interest amount of interest cash flows paid at floating interest rates is derived from the yield rate at the balance sheet date.

December 31, 2025

	Less Than 1 Year	1-3 Years	3-5 Years	5+ Years
Floating interest rate instrument				
Short-term borrowings	$ 118,191	$ -	$ -	$ -
Long-term borrowings	20,333	65,490	9,767	2,441
Bonds payable	-	1,000,000	-	-
Lease liabilities	477,328	374,457	507,572	474,371
Non-interest bearing				
Notes payable	1,422	-	-	-
Accounts payables	286,682	-	-	-
Other payables	711,988	-	-	-
Guarantee deposits received	65,905	-	-	-
	$ 1,681,849	$ 1,439,947	$ 517,399	$ 476,812

Further information on the maturity analysis of lease liabilities was as follows:

	Less than 1 Year	1-5 Years	5-10 Years	10-15 Years	15-20 Years	20+ Years
Lease liabilities	$ 477,328	$ 882,029	$ 340,325	$ 116,600	$ 17,446	$ -

December 31, 2024

	Less Than 1 Year	1-3 Years	3-5 Years	5+ Years
Floating interest rate instrument				
Short-term borrowings	$ 184,404	$ -	$ -	$ -
Long-term borrowings	5,624	11,048	10,325	7,741
Lease liabilities	486,713	339,856	462,883	440,067
Non-interest bearing				
Notes payable	2,160	-	-	-
Accounts payables	261,494	-	-	-
Other payables	616,666	-	-	-
Guarantee deposits received	55,476	-	-	-
	$ 1,612,537	$ 350,904	$ 473,166	$ 447,808

Further information on the maturity analysis of lease liabilities was as follows:

	Less than 1 Year	1-5 Years	5-10 Years	10-15 Years	15-20 Years	20+ Years
Lease liabilities	$ 486,713	$ 802,739	$ 349,495	$ 61,621	$ 28,951	$ -

The amounts included above for variable interest rate instruments for both non-derivative financial assets and liabilities are subject to change if changes in variable interest rates differ from those estimates of interest rates determined at the end of the year.

b) Financing facilities

	December 31	
	2025	2024
Bank loan facilities which may be extended by mutual agreement		
Amount drawn	$ 110,005	$ 181,963
Amount undrawn	1,392,865	1,002,785
	$ 1,502,870	$ 1,184,748
Bank long-term loan facilities		
Amount drawn	$ 91,749	$ 31,714
Amount undrawn	59,717	80,000
	$ 151,466	$ 111,714

37. TRANSACTIONS WITH RELATED PARTIES

Balances and transactions between the Company and its subsidiaries, which are related parties of the

Company, have been eliminated on consolidation and are not disclosed in this note.

a. Related party name and category

Related Party Name	Related Party Category
Lin, Chia-Yu	Key management personnel (including the Company's directors)
Fu Yu Investment Co., Ltd.	Corporate director of the Company
Worldway International Group Limited	Substantive related party
Meide Eatery	Substantive related party
Chengde Eatery	Substantive related party (closed down on June 17, 2024)
Wuhua Eatery	Substantive related party
Taiyuan Eatery	Substantive related party
Yutingyuan Enterprise	Substantive related party
Taimanhan Diner	Substantive related party
Taimanji Diner	Substantive related party
Yangyang Eatery	Substantive related party
Su, Hsiao-Chi	Substantive related party
Lung, Chia-Hui	Substantive related party
New Taipei City Private Bafang Yunji Social Welfare Charitable Foundation (hereinafter referred to as Bafang Yunji Foundation)	Substantive related party
Vivian Peng	Substantive related party

b. Operating revenue

		For the years ended December 31	
Line Item	Related Party Category/Name	2025	2024
Sales of goods	Substantive related party		
	Others	$ 49,032	$ 47,840
Licensing revenue	Substantive related party		
	Others	451	499
		$ 49,483	$ 48,339

The sales prices and payment terms for transactions with related parties were comparable to those with third-party customers.

c. Manufacturing expenses and operating expenses

		For the years ended December 31	
Line Item	Related Party Category/Name	2025	2024
Operating expenses	Substantive related party		
Service fees	Others	$ 1,120	$ 3,040

d. Receivables from related parties

Line Item	Related Party Category/Name	December 31 2025	December 31 2024
Accounts receivables	Substantive related party Others	$ 1,250	$ 1,232
Other receivables	Substantive related party Others	$ 1	$ -

The outstanding accounts receivables from related parties are unsecured. For the years ended December 31, 2025 and 2024, no impairment losses were recognized for accounts receivables from related parties.

e. Payable to related parties

Line Item	Related Party Category/Name	December 31 2025	December 31 2024
Other payables	Substantive related party Others	$ 80	$ 120

The outstanding accounts payables to related parties are unsecured.

f. Lease arrangements - the Group is lessee

Related Party Category/Name	For the years ended December 31 2025	For the years ended December 31 2024
Acquisition of right-of-use assets		
Substantive related party Others	$ -	$ 6,431

Line Item	Related Party Category/Name	December 31 2025	December 31 2024
Lease liabilities	Substantive related party Others	$ -	$ 3,256

Related Party Category/Name	For the years ended December 31 2025	For the years ended December 31 2024
Interest expense		
Substantive related party Others	$ 35	$ 115
Rent expense		
Substantive related party Others	$ 3,030	$ 1,599

For the year ended December 31, 2025				
Related Party Category/Name	Leased Asset	Lease Term	Rental Terms	Monthly Rent
Key management personnel	A property located in Tustin, California, USA	January 1, 2025 - December 31, 2025	Negotiated	$ 132
Substantive related party	A property located in Tustin, California, USA	January 1, 2025 - December 31, 2025	Negotiated	129
Substantive related party	2302, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2024 - December 31, 2025	Negotiated	130
Substantive related party	2304, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2024 - December 31, 2025	Negotiated	130

For the year ended December 31, 2024				
Related Party Category/Name	Leased Asset	Lease Term	Rental Terms	Monthly Rent
Substantive related party	2304, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2024 - December 31, 2025	Negotiated	$ 137
Substantive related party	2302, Tsuen Wan Industrial Centre, Hong Kong	January 1, 2024 - December 31, 2025	Negotiated	137
Substantive related party	A property located in Tustin, California, USA	January 1, 2024 - December 31, 2024	Negotiated	133

g. Lease arrangements - the Group is lessor

Operating lease

The Group leased its assets under an operating lease to the Bafang Yunji Foundation in 2025 and 2024. As of December 31, 2025 and 2024, the total amount of future lease payments to be received was $110 thousand and $167 thousand, respectively.

The amounts of lease income recognized for the years ended December 31, 2025 and 2024 were as follows:

		For the years ended December 31	
Line Item	Related Party Category/Name	2025	2024
Lease income	Substantive related party Others	$ 57	$ 57

Capital sublease

The Group subleased right-of-use assets to Chengde Eatery and Yutingyuan Enterprise under finance leases. As of December 31, 2025 and 2024, the balance of finance lease receivables was $2,184 thousand and $3,694 thousand, respectively, and no impairment loss was recognized for the years ended December 31, 2025 and 2024.

h. Guarantee deposits received

	December 31	
Related Party Category/Name	2025	2024
Substantive related party Others	$ 660	$ 660

i. Other income

Related Party Category/Name	For the years ended December 31 2025	2024
Substantive related party		
Others	$ 36	$ 74

j. Other transactions with related parties

Line Item	Related Party Category/Name	For the years ended December 31 2025	2024
Investments accounted for using the equity method - acquisition of shares	Corporate director of the Company Fu Yu Investment Co., Ltd.	$ -	$ 37,500

k. Remuneration of key management personnel

The total remuneration paid to directors and other key management personnel for the years ended 2025 and 2024 were as follows:

	For the years ended December 31 2025	2024
Short-term employee benefits	$ 114,486	$ 102,675
Post-employment benefits	7,471	1,375
Share-based payments		
Equity-settled	-	1,006
	$ 121,957	$ 105,056

The remuneration of directors and key executives, as determined by the remuneration committee, is based on the performance of individuals and market trends.

38. ASSETS PLEDGED AS COLLATERAL OR FOR SECURITY

The following assets were provided as collateral for obtaining credit lines from financial institutions, payments to Taipei Agricultural Products Marketing Corporation, electronic transfer service of money and the issuance of stored-value cards. The carrying amounts of the respective accounts were as follows:

	December 31 2025	2024
Financial assets at amortized cost - current		
Bank time deposit	$ 11,865	$ 10,000
Other financial assets - current	34,573	1,861
Property, plant and equipment		
Building and construction	103,392	113,420
	$ 149,830	$ 125,281

39. SIGNIFICANT CONTINGENT LIABILITIES AND UNRECOGNIZED COMMITMENTS

In addition to those disclosed in other notes, significant contingencies and unrecognized commitments of the Group at December 31, 2025 and 2024 were as follows:

As of December 31, 2025 and 2024, the total contract amounts for the construction and acquisition of

related plant and equipment were $564,777 thousand and $669,025 thousand, respectively. The amounts paid were $443,235 thousand and $403,877 thousand, respectively.

40. SIGNIFICANT SUBSEQUENT EVENTS

On March 10, 2026, the Board of Directors of the Group resolved to increase the capital of its subsidiary, Bafang Yunji International (USA) Limited, planning to expand its business in the U.S.A. The total capital increase amounted to US$7,900 thousand.

41. SIGNIFICANT ASSETS AND LIABILITIES DENOMINATED IN FOREIGN CURRENCIES

The Group's significant financial assets and liabilities denominated in foreign currencies aggregated by the foreign currencies other than functional currencies of the entities in the Group and the related exchange rates between the foreign currencies and the respective functional currencies were as follows:

Unit: In Thousands of Each Foreign Currency

December 31, 2025

	Foreign Currency	Exchange Rate	Carrying Amount
Financial assets			
Monetary items			
USD	$ 1,634	31.43 (USD:NTD)	$ 51,370
HKD	1,701	4.04 (HKD:NTD)	6,870

December 31, 2024

	Foreign Currency	Exchange Rate	Carrying Amount
Financial assets			
Monetary items			
USD	$ 829	32.785 (USD:NTD)	$ 27,122
CNY (RMB)	45	4.478 (CNY:NTD)	201
HKD	1,525	4.222 (HKD:NTD)	6,317

For the years ended December 31, 2025 and 2024, the Group recognized realized and unrealized foreign exchange gains of $1,171 thousand and gains of $14,856 thousand, respectively.

42. SEPARATELY DISCLOSED ITEMS

a. Information on significant transactions:

1) Financing provided to others (Table 1)

2) Endorsements/guarantees provided (Table 2)

3) Marketable securities held (excluding investments in subsidiaries, associates and joint ventures) (Table 3)

4) Total purchases from or sales to related parties amounting to at least NT$100 million or 20% of the paid-in capital (Table 4)

5) Receivables from related parties amounting to at least NT$100 million or 20% of the paid-in capital (None)

6) Other: Business relationships and material transactions between the parent company and its subsidiaries and among its subsidiaries (Table 5)

b. Information on investees (Table 6)

c. Information on investments in mainland China

1) Information on any investee company in mainland China, showing the name, principal business activities, paid-in capital, method of investment, inward and outward remittance of funds, ownership percentage, net income of investees, investment income or loss, carrying amount of the investment at the end of the year, repatriations of investment income, and limit on the amount of investment in the mainland China area (Table 7)

2) Any of the following significant transactions with investee companies in mainland China, either directly or indirectly through a third party, and their prices, payment terms, and unrealized gains or losses (Table 7)

a) The amount and percentage of purchases and the balance and percentage of the related payables at the end of the year

b) The amount and percentage of sales and the balance and percentage of the related receivables at the end of the year

c) The amount of property transactions and the amount of the resultant gains or losses

d) The balance of negotiable instrument endorsements or guarantees or pledges of collateral at the end of the year and the purposes

e) The highest balance, the ending balance, the interest rate range, and total current period interest with respect to the financing of funds

f) Other transactions that have a material effect on the profit or loss for the year or on the financial position, such as the rendering or receipt of services

43. SEGMENT INFORMATION

Information reported to the chief operating decision maker for the purpose of resource allocation and assessment of segment performance focuses on the types of goods or services delivered or provided.

Reportable Segments	Brands Operated
Taiwan	- Bafang Yunji - Liang She-Han Pork Ribs - FJ Veggie - Dante Coffee
Hong Kong	- Bafang Yunji - Liang She-Han Pork Ribs - Bai Fung Bento - Bafang Noodles & More
United States	- Bafang Yunji

a. Segment revenue and results

The following was an analysis of the Group's revenue and results from continuing operations by

reportable segments:

	For the year ended December 31, 2025			
	Taiwan	Hong Kong	United States	Total
Revenue from external customers	$ 6,834,851	$ 1,301,279	$ 655,088	$ 8,791,118
Inter-segment revenue	93,717	-	-	93,717
Segment revenue	$ 6,928,468	$ 1,301,279	$ 655,088	8,884,835
Eliminations				(93,717)
Consolidated revenue				$ 8,791,118
Segment income	$ 1,094,490	$ 29,973	$ (46,351)	$ 1,078,122
Interest income				13,876
Rental income				5,951
Losses on disposal of property, plant and equipment				(29,712)
Net foreign exchange gains				1,171
Financial costs				(61,026)
Other gains and losses				39,744
Profit before tax (continuing operations)				$ 1,048,116

	For the year ended December 31, 2024			
	Taiwan	Hong Kong	United States	Total
Revenue from external customers	$ 6,069,522	$ 1,403,920	$ 554,543	$ 8,027,985
Inter-segment revenue	97,084	-	-	97,084
Segment revenue	$ 6,166,606	$ 1,403,920	$ 554,543	8,125,069
Eliminations				(97,084)
Consolidated revenue				$ 8,027,985
Segment income	$ 673,309	$ 56,844	$ (8,617)	$ 721,536
Interest income				15,657
Rental income				10,227
Losses on disposal of property, plant and equipment				(9,601)
Net foreign exchange gains				14,856
Financial costs				(41,519)
Other gains and losses				45,452
Profit before tax (continuing operations)				$ 756,608

The revenues reported above were generated from transactions with external customers. Intersegment sales for the years ended December 31, 2025 and 2024 have been fully eliminated.

Segment profit represents the profit before tax earned by each segment without allocation of central administration costs and directors' salaries, share of profit of associates, gains recognized on

disposal of interests in former associates, lease income, interest income, gains or losses on disposal of property, plant and equipment, gains or losses on disposal of financial instruments, exchange gains or losses, valuation gains or losses on financial instruments, finance costs and income tax expense. This was the measure reported to the chief operating decision maker for the purpose of resource allocation and assessment of segment performance.

b. Total segment assets

	December 31	
	2025	2024
Taiwan	$ 5,339,665	$ 4,250,208
Hong Kong	1,109,868	1,177,326
United States	1,768,879	1,289,901
Total segment assets	8,218,412	6,717,435
Unallocated assets	7,978	5,777
Consolidated total assets	$ 8,226,390	$ 6,723,212

For the purpose of monitoring segment performance and allocating resources between segments:

All assets were allocated to reportable segments other than interests in associates accounted for using the equity method and current and deferred tax assets. Assets used jointly by reportable segments were allocated on the basis of the revenue earned by individual reportable segments.

c. Revenue from major products and services

The Group is primarily engaged in the manufacturing and sale of products related to restaurant chains and the sale of food ingredients used in the manufacturing and sale of related products by franchisees as a single product category; therefore, information by product category is not required.

d. Geographical information

The Group operates in three principal geographical areas - Taiwan, Hong Kong and the United States.

The Group's revenue from continuing operations from external customers by location of operations and information on its non-current assets by location of assets are detailed below.

	Revenue from External Customers		Non-Current Assets (Note) December 31	
	2025	2024	2025	2024
Taiwan	$ 6,834,751	$ 6,069,522	$ 3,009,719	$ 2,942,169
Hong Kong	1,301,279	1,403,920	802,741	794,807
United States	655,088	554,543	1,406,754	986,849
	$ 8,791,118	$ 8,027,985	$ 5,219,214	$ 4,723,825

Note: Non-current assets exclude deferred tax assets.

e. Information on major customers

For the years ended December 31, 2025 and 2024, no revenue from a single customer accounted for 10% or more of the Group's total revenue.

TABLE 1

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

FINANCING PROVIDED TO OTHERS
FOR THE YEARS ENDED DECEMBER 31, 2025
(In Thousands of New Taiwan Dollars, Unless Stated Otherwise)

No. (Note 1)	Lender	Borrower	Financial Statement Account	Related Party	Highest Balance for the Period	Ending Balance	Actual Amount Borrowed	Interest Rate (%)	Nature of Financing (Note 2)	Business Transaction Amount	Reasons for Short-term Financing	Allowance for Impairment Loss	Collateral		Financing Limit for Each Borrower (Note 3)	Aggregate Financing Limit (Note 3)	Note
													Item	**Value**			
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	Other receivables - related parties	Yes	$ 100,000	$ -	$ -	2.0	Short-term financing needs	$ -	Operating turnover	$ -	-	$ -	$ 759,899	$ 759,899	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Group LLC	Other receivables - related parties	Yes	99,615	-	-	4.8	Short-term financing needs	-	Operating turnover	-	-	-	759,899	759,899	
0	Bafang Yunji International Co., Ltd.	Dante Coffee & Foods Co., Ltd.	Other receivables - related parties	Yes	50,000	-	-	2.0	Short-term financing needs	-	Operating turnover	-	-	-	759,899	759,899	

Note 1: The number column is filled out as follows:

a. Fill in 0 for the issuer.
b. Each invested company is numbered in sequential order starting from 1.

Note 2: The nature of the loan should be specified as either business-related transactions or necessary for short-term financing purposes.

Note 3: The maximum amount of loans to any individual party is $3,799,496 thousand x 20% of the net worth of the lending company (Bafang Yunji International Co., Ltd.) = $759,899 thousand; the total loan limit is $3,799,496 thousand x 20% of the net worth of the lending company (Bafang Yunji International Co., Ltd.) = $759,899 thousand.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

ENDORSEMENTS/GUARANTEES PROVIDED
FOR THE YEARS ENDED DECEMBER 31, 2025
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

No. (Note 1)	Endorser/Guarantor	Endorsee/Guarantee		Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 3)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed By Collateral	Ratio of Accumulated Endorsement/ Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 3)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Note
		Name	**Relationship (Note 2)**											
0	Bafang Yunji International Co., Ltd.	Dante Coffee & Foods Co., Ltd.	b.	$ 759,899	$ 80,000	$ -	$ -	$ -	-	$ 1,519,798	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Foods LLC	b.	759,899	66,410	62,860	47,145	-	1.65	1,519,798	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Group LLC	b.	759,899	332,050	314,300	159,004	-	8.27	1,519,798	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Ji Yuan Foods Co., Ltd.	b.	759,899	100,000	-	-	-	-	1,519,798	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Group Texas LLC	b.	759,899	66,410	62,860	-	-	1.65	1,519,798	Y	N	N	
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	b.	759,899	50,000	-	-	-	-	1,519,798	Y	N	N	
1	Bafang Yunji International (USA) Limited	Bafang Yunji Restaurant Group Texas LLC	b.	446,285	127,420	120,608	120,608	-	21.62	557,856	N	N	N	

Note 1: The number column is filled out as follows:

a. Fill in 0 for the issuer.
b. Each invested company is numbered in sequential order starting from 1.

Note 2: Relationship with the Company:

a. The companies with which it has business relations.
b. Subsidiaries in which the company directly holds more than 50% of its total outstanding common stocks.
c. Companies in which the total outstanding common stocks held by the parent company and its subsidiaries, calculated on a combined basis, exceed 50%.
d. The parent company that directly or indirectly holds more than 50% of the total outstanding common stocks through its subsidiaries.
e. Companies in same type of business and providing mutual endorsements/guarantees in favor of each other in accordance with the contractual obligations in order to fulfill the needs of the construction project.
f. Shareholders making endorsements and/or guarantees for their mutually invested company in proportion to their shareholding percentage.
g. Companies in the same industry providing among themselves joint and several security for a performance guarantee of a sales contract for pre-construction homes pursuant to the Consumer Protection Act.

Note 3: Limit on endorsements/guarantees provided for a single party: Not exceeding 20% of the Company’s net assets as of December 31, 2025: $3,799,496 thousand x 20% = $759,899 thousand.
Ceiling on total amount of endorsements/guarantees provided: Not exceeding 40% of the Company’s net assets as of December 31, 2025: $3,799,496 thousand x 40% = $1,519,798 thousand.

Note 4: The maximum endorsement/guarantee amount for Bafang Yunji International (USA) Limited is limited to 100% of the company's net worth. In addition, the maximum amount for any single entity is limited to 80% of the company's net worth.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

MARKETABLE SECURITIES HELD
DECEMBER 31, 2025
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Holding Company Name	Type and Name of Marketable Securities	Relationship with the Holding Company	Financial Statement Account	December 31, 2025				Note
				Number of Shares	Carrying Amount	Percentage of Ownership (%)	Fair Value	
Bafang Yunji International Co., Ltd.	Corporate bonds First Commercial Bank	-	Financial assets at amortized cost - non-current	-	$ 19,721	-	$ 19,721	Domestic corporate bonds
Bafang Yunji International Co., Ltd.	Structured deposits President DSU NTD 100% Capital Protected Structured Instrument	-	Financial assets at fair value through profit or loss - current	-	120,017	-	120,017	
Fang Sin International Trading Co., Ltd.	Domestic unlisted equity investments WiXtar Corporation	-	Financial assets at fair value through other comprehensive income - non-current	150,000	$ 3,750	0.98	$ 3,750	

Note 1: The term “securities” as used in this table refers to stocks, bonds, mutual fund beneficiary certificates, and derivative securities arising from the aforementioned items, as defined under IFRS 9 “Financial Instruments”.

Note 2: For information on investment in subsidiaries, affiliates and joint venture interests, refer to Tables 6 and 7.

TABLE 4

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

TOTAL PURCHASES FROM OR SALES TO RELATED PARTIES AMOUNTING TO AT LEAST NT$100 MILLION OR 20% OF THE PAID-IN CAPITAL
FOR THE YEARS ENDED DECEMBER 31, 2025
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Buyer	Related Party	Relationship	Transaction				Abnormal Transactions		Notes/Accounts Receivable (Payable)		Note
			Purchase/Sale	Amount	% of Total	Payment Terms	Unit Price	Payment Terms	Ending Balance	% of Total	
Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	Subsidiary	Sales	$ 487,939	7.86	Semi-monthly settlement	Same as the transaction price with regular customers	Same as the credit terms offered to regular customers	$ 19,405	13.30	Note
Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	Sister company	Sales	193,678	100.00	Semi-monthly settlement	Same as the transaction price with regular customers	Same as the credit terms offered to regular customers	17,494	100.00	Note

Note: The above transactions have been eliminated in the consolidated financial statements.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INTERCOMPANY RELATIONSHIPS AND SIGNIFICANT INTERCOMPANY TRANSACTIONS
FOR THE YEARS ENDED DECEMBER 31, 2025
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

No. (Note 1)	Investee Company	Counterparty	Relationship (Note 2)	Transaction Details			
				Financial Statement Accounts	Amount	Payment Terms	% of Total Sales or Assets (Note 3)
0	Bafang Yunji International Co., Ltd.	Bafang Yunji Restaurant Co., Ltd.	a.	Sales of goods	$ 487,939	At regular transaction prices	6
	〃	〃	a.	Accounts receivables	19,405	At regular transaction prices	-
	〃	〃	a.	Advertising expenses	32,755	Note 5	-
	〃	〃	a.	Miscellaneous expenses	34,182	Note 5	-
	〃	〃	a.	Training expenses	11,730	Note 5	-
	〃	Fang Sin International Trading Co., Ltd.	a.	Purchases of goods	40,019	At regular transaction prices	-
1	Fang Sin International Trading Co., Ltd.	Bafang Yunji International Company Limited	c.	Sales of goods	70,659	At regular transaction prices	1
	〃	Bafang Yunji Foods LLC	c.	Sales of goods	17,932	At regular transaction prices	-
2	Bafang Yunji Foods LLC	Bafang Yunji Restaurant Group LLC	c.	Sales of goods	193,678	At regular transaction prices	2
	〃	Bafang Yunji Restaurant Group LLC	c.	Accounts receivables	17,494	At regular transaction prices	-

Note 1: The numbers filled in for the transaction company in respect of inter-company transactions are as follows:

a. Parent company is “0”.
b. The subsidiaries are numbered in order starting from “1”.

Note 2: Relationship between transaction company and counterparty is classified into the following Three categories; fill in the number of category each case belongs to (if transactions between parent company and subsidiaries or between subsidiaries refer to the same transaction, it is not required to disclose twice. For example, if the parent company has already disclosed its transaction with a subsidiary, then the subsidiary is not required to disclose the transaction; for transactions between two subsidiaries, if one of the subsidiaries has disclosed the transaction, then the other is not required to disclose the transaction):

a. Parent company to subsidiary.
b. Subsidiary to parent company.
c. Subsidiary to subsidiary.

Note 3: Regarding percentage of transaction amount to consolidated total operating revenues or total assets, it is computed based on period-end balance of transaction to consolidated total assets for balance sheet accounts and based on accumulated transaction amount during the year to consolidated total operating revenues for income statement accounts.

Note 4: The Company may determine discretionally whether to have the material transactions in the Exhibit illustrated according to its materiality.

Note 5: The intercompany transactions, prices and terms are determined in accordance with mutual agreements and no other similar transactions could be used for comparison.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INFORMATION ON INVESTEES
FOR THE YEARS ENDED DECEMBER 31, 2025
(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

Investor Company	Investee Company	Location	Main Businesses and Products	Original Investment Amount		As of December 31, 2025			Net Income (Loss) of the Investee	Share of Profit (Loss)	Note
				December 31, 2025	December 31, 2024	Number of Shares	%	Carrying Amount			
Bafang Yunji International Co., Ltd.	Bafang Yunji (Samoa) International Co., Ltd.	Samoa	Investment management	$ 50,055 US$ 1,833,048	$ 50,055 US$ 1,833,048	1,833,048	100	$ 26,540 US$ 844,411	$ 692 US$ 22,172	$ 692 US$ 22,172	
	Bafang Yunji Restaurant Co., Ltd.	Taiwan	Food and beverage services	150,727	150,727	15,000,000	100	169,170	9,673	9,673	Note 1
	Fang Sin International Trading Co., Ltd.	Taiwan	Food trading	40,000	40,000	4,000,000	100	45,709	2,893	2,893	Note 1
	Bafang Co., Ltd.	Japan	Food processing and food and beverage services	81,621 JPY 300,000,000	81,621 JPY 300,000,000	30,000	100	45,936 JPY 228,764,702	(892) (JPY 4,278,682)	(892) (JPY 4,278,682)	Note 1
	Bafang Yunji International (USA) Limited	United States	Investment management	676,511 US$ 21,580,000	450,951 US$ 14,380,000	4,316	100	557,856 US$ 17,749,150	(46,742) (US$ 1,499,108)	(46,742) (US$ 1.499,108)	Note 1
	Bafang Yunji International Company Limited	Hong Kong	Food processing and food and beverage services	476,538 HK$ 119,617,830	476,538 HK$ 119,617,830	17,500,000	100	677,209 HK$ 167,708,987	13,405 HK$ 3,351,108	13,405 HK$ 3,351,108	Note 1
	Dante Coffee & Foods Co., Ltd.	Taiwan	Food and beverage services	20,000	20,000	2,000,000	100	2,158	(4,881)	(4,881)	Note 1
	Ji Yuan Foods Co., Ltd.	Taiwan	Livestock products manufacturing and sales	250,000	250,000	25,000,000	100	230,344	(19,694)	(19,694)	Note 1
Bafang Yunji (Samoa) International Co., Ltd.	Bafang Yunji Restaurant Group Limited	Hong Kong	Investment management	- US$ -	397,549 US$ 12,940,438	-	-	-	-	-	Note 1
Bafang Yunji International Company Limited	Hsin Chiao International Co. Limited	Hong Kong	Transportation	- HK$ 1	- HK$ 1	1	100	53,041 HK$ 13,135,435	5,900 HK$ 1,474,879	5,900 HK$ 1,474,879	Note 1
	Long Success (HK) Industrial Limited	Hong Kong	Food and beverage services	- HK$ 1	- HK$ 1	1	100	84,029 HK$ 20,809,477	(13,295) (HK$ 3,323,795)	(13,295) (HK$ 3,323,795)	Note 1
	Rich Grade Limited	Hong Kong	Food and beverage services	- HK$ 1	- HK$ 1	1	100	9,530 HK$ 2,359,997	(1,189) (HK$ 297,188)	(1,189) (HK$ 297,188)	Note 1
	Wise Success Enterprise Limited	Hong Kong	Transportation	- HK$ 1	- HK$ 1	1	100	1,061 HK$ 262,783	659 (HK$ 164,873)	659 (HK$ 164,873)	Note 1
	Jiashide Limited	Hong Kong	Investment management	6,891 RMB 1,500,000	6,891 RMB 1,500,000	10,000	100	-	-	-	Note 1
Jiashide Limited	Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Mainland China	Food trading	6,891 RMB 1,500,000	6,891 RMB 1,500,000	-	100	-	-	-	Notes 1 and 2
Bafang Yunji International (USA) Limited	Bafang Yunji Foods LLC	United States	Food processing	116,598 US$ 3,780,000	97,050 US$ 3,180,000	-	60	41,897 US$ 1,333,023	(31,267) (US$ 1,002,788)	(18,760) (US$ 601,673)	Notes 1 and 3
	Bafang Yunji Restaurant Group LLC	United States	Food and beverage services	84,205 US$ 2,700,000	84,205 US$ 2,700,000	-	60	76,238 US$ 2,425,648	(8,036) (US$ 257,735)	(4,822) (US$ 154,641)	Notes 1 and 3
	Bafang Yunji Franchise (USA) Co.	United States	Franchising	16,140 US$ 500,000	16,140 US$ 500,000	500,000	100	14,912 US$ 474,445	(89) (US$ 2,848)	(89) (US$ 2,848)	Note 1
	Bafang Yunji Texas Corporation	United States	Investment management	439,353 US$ 13,800,000	231,732 US$ 7,200,000	13,800,000	60	412,446 US$ 13,122,658	(34,029) (US$ 1,091,373)	(20,417) (US$ 654,824)	Notes 1 and 3
Bafang Yunji Texas Corporation	Bafang Yunji Foods Texas LLC	United States	Food processing	568,830 US$ 18,000,000	385,080 US$ 12,000,000	-	100	534,829 US$ 17,016,509	(29,774) (US$ 954,908)	(29,774) (US$ 954,908)	Note 1
	Bafang Yunji Restaurant Group Texas LLC	United States	Food and beverage services	148,163 US$ 4,500,000	- US$ -	-	100	138,123 US$ 4,394,624	(3,286) (US$ 105,376)	(3,286) (US$ 105,376)	Note 1

Note 1: The above investment income or loss of the investee for 2025 was recognized based on the investee's financial statements for the same period audited by CPAs.

Note 2: Refer to Table 7 for the information on investees in Mainland China.

Note 3: Significant non-controlling interests.

BAFANG YUNJI INTERNATIONAL CO., LTD. AND SUBSIDIARIES

INFORMATION ON INVESTMENT IN MAINLAND CHINA
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(In Thousands of New Taiwan Dollars and Unless Stated Otherwise)

1. The name of the investees in Mainland China, main business, paid-in capital, investment methods, capital outward and inward remittances, shareholding, investment income and losses, investment book value, repatriated investment income and loss.

Investee Company	Main Businesses and Products	Paid-in Capital	Method of Investment (Note 1)	Accumulated Outward Remittance for Investment from Taiwan as of January 1, 2025	Remittance of Funds		Accumulated Outward Remittance for Investment from Taiwan as of December 31, 2025	Net Income (Loss) of the Investee	% Ownership of Direct or Indirect Investment	Investment Gain (Loss) (Note 2b.2))	Carrying Amount as of December 31, 2025	Accumulated Repatriation of Investment Income as of December 31, 2025	Note
					Outward	**Inward**							
Heng Yue Feng Trading (Shenzhen) Co., Ltd.	Food trading	$ 6,891	b.	$ 6,891 (RMB 1,500,000)	$ -	$ -	$ 6,891 (RMB 1,500,000)	$ - (RMB -)	100	$ - (RMB -)	$ - (RMB -)	$ -	

2. Investment quota for Mainland China

Accumulated Outward Remittance for Investment in Mainland China as of December 31, 2025	Investment Amounts Authorized by the Investment Commission, MOEA	Upper Limit on the Amount of Investment Stipulated by the Investment Commission, MOEA (Note 3)
$502,428 (US$16,341,534)	$502,428 (US$16,341,534)	$2,491,930

Note 1: The investment methods can be divided into the following three types, and just indicate as such.

a. Invest in mainland China directly.
b. Invest in Mainland China through companies in third regions. (Please specify the investment company of the third region).
c. Other methods.

Note 2: In the column of investment income or loss recognized in the current period.

a. If the investment is under preparation and there is no investment income or loss, it should be noted.
b. The basis for recognizing investment income or losses is divided into the following three categories, which should be specified.

1) The financial statements have been audited by an international CPA firm with which CPA firms in the ROC. has a cooperative relationship.
2) The financial statements have been audited by the attesting CPA of the parent company in Taiwan.
3) Others: Unaudited financial statements.

Note 3: In accordance with the “Regulations Governing the Examination of Investment or Technical Cooperation in Mainland China” of the Investment Commission dated 2008.8.29, the higher of 60% of the net worth of the investor company or the consolidated net worth shall be the limit.

Note 4: Including the deregistration of Zhejiang Fuyu Foods Co., Ltd. in July 2020, Xiamen Fuyu Bafang Equity Investment Co., Ltd. in February 2021, and Zhejiang Fuyu Foods Co., Ltd. and Zhejiang Fuyu Restaurant & Management Co., Ltd. in March 2021, and Shanghai Dante Coffee Co., Ltd was deregistered in September 2022, Fujian Bafang Yunji Foods Co., Ltd. was deregistered in September 2022, and Fujian Bafang Yunji Restaurant & Management Co., Ltd. was deregistered in October 2024, the accumulated investment amount of $472,503 thousand remitted from Taiwan was not repatriated back.

3. Significant transactions with investees in Mainland China directly or indirectly through third-region businesses: None.

4. Endorsement, guarantee or provision of collaterals provided to investees in Mainland China directly or indirectly through third-region businesses: None.

5. For financial accommodation provided to investees in Mainland China directly or indirectly through third-region businesses: None.

6. Other transactions that have a significant effect on the current profit or loss or financial position: None.